









# Modelling Financial Markets

## Chapter 4: Portfolio Optimisation



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# Opening: Can an Estimated Rule Beat Equal Weights?

> *"The process of selecting a portfolio may be divided into two stages. The first stage starts with observation and experience and ends with beliefs about the future performances of available securities."*
>
> — *Markowitz (1952)*

- 16 assets and 60 months of data: 152 parameters to estimate, 16 means and 136 variances and covariances
- 2 000 simulated tangency portfolios: the estimated Sharpe ratio has median 1.56
  - the true Sharpe ratio, computed with the population parameters, has median 0.30
- 96% of them have a true Sharpe ratio below that of equal weights, 1/N (0.54)
- Out-of-sample, on 16 ETFs, before costs: Sharpe 0.76 for 1/N, between 0.20 and 0.36 for the GMV rules
  - ETF: Exchange-Traded Fund
  - GMV: global minimum-variance portfolio

Central chart: Estimated versus Realised Frontiers

# Why Does Estimating the Optimum Change the Problem?

## Easy optimum, hard estimate

- A **portfolio** is a weight vector $\mathrm{w} = (w_1, \ldots, w_N)^\top$ with $\mathrm{w}^\top 1 = 1$
- The optimum is easy to write with known means and covariances, hard to estimate
  - the optimiser loads on the largest estimation errors
  - 16 assets: 16 means + 136 variances and covariances = 152 parameters, estimated from 60 monthly observations
- Can any estimated rule beat equal weights out of sample, after costs?

# What the Chapter Contains

## Core path

- Mean–variance: global minimum-variance (GMV) and tangency weights, the frontier, constraints
- Estimation risk: why in-sample Sharpe ratios are too optimistic
- Three repairs of the inputs: covariance shrinkage, constraints, Black–Litterman
- Rules that need only $\Sigma$: equal risk contribution (ERC) and Hierarchical Risk Parity (HRP)
- Out-of-sample evaluation: turnover and costs, Sharpe-difference tests, Holm and Benjamini–Hochberg
- The application on the Bucharest Stock Exchange (BVB)

- Detailed examples and advanced topics are in Further Topics, after the Conclusions
  - the footer button leads there; the Back button returns to the starting slide

## Deeper study

- Case studies: trading costs, volatility timing
- Research assisted by artificial intelligence (AI) and data snooping
- Appendix: derivations and complete tables
- Textbook: Franke, Härdle & Hafner (2019), Part I

## What you should be able to do

- derive GMV, tangency and the in-sample Sharpe bias
- compute ERC weights and net Sharpe ratios
- interpret why estimation error favours 1/N
- interpret a Sharpe test after multiple testing
- Further Topics and Appendix: reading for familiarity

# Data, Assets and the 1/N Benchmark

| Universe | Assets | Returns | Currency |
|---|---|---|---|
| Sectors | 9 US sector ETFs | 1999/01 – 2026/07 | USD |
| Multi-asset | 8 ETFs: equities (3), Treasuries (2), credit (2), gold | 2007/05 – 2026/07 | USD |
| Combined | 9 sectors + the 7 multi-asset ETFs other than SPY (S&P 500) (16 ETFs) | 2007/05 – 2026/07 | USD |
| Romania | 8 BVB blue chips; the BET and BET-TR indices | 2014/10 – 2026/08 | RON |

- ETF (exchange-traded fund): a fund traded on an exchange that tracks an index
- Why three universes
  - sectors are similar assets with high correlations
  - multi-asset holds classes with correlations of opposite sign (equities and Treasuries)
  - the combined universe raises $N$ to 16 and amplifies estimation error
- Sample starts: the launch of the sector ETFs (December 1998) and of HYG (April 2007)
- Monthly simple returns from month-end prices, dividends reinvested
  - BET (Bucharest Exchange Trading), the BVB benchmark, is a price index; BET-TR (total return) reinvests dividends
- Excess returns over the one-month US Treasury bill (Kenneth French Data Library)
- **1/N**: equal weights $w_i = 1/N$, rebalanced every month, with no estimation at all
  - the benchmark of every comparison


▸ Appendix: the assets in detail

# Notation (1/2)

- **Returns**
  - simple return $R_{i,t} = P_{i,t}/P_{i,t-1} - 1$; $P_{i,t}$: the month-end price of asset $i$
  - excess return $R^e_{i,t} = R_{i,t} - R_{f,t}$ (in the seminar: $r_t$ and $r^e_t$); $R_{f,t}$: the risk-free rate
  - log return $\ln(P_{i,t}/P_{i,t-1}) = \ln(1 + R_{i,t})$: adds up over time, not across assets
  - portfolios use simple returns, because $R_{p,t} = \sum_i w_i R_{i,t}$ holds exactly
- **Portfolio** of $N$ assets
  - w: vector of weights; $\boldsymbol{\mu}$: vector of expected (excess) returns; 1: vector of ones
  - $\boldsymbol{\Sigma}$: the $N \times N$ covariance matrix of the returns
  - portfolio mean $\mathrm{w}^\top \boldsymbol{\mu}$, portfolio variance $\mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w}$

## Notation (2/2)

- **Sharpe ratio** (Sharpe (1966)): $SR_p = \mathbb{E}[R_p^e]/\sigma(R_p^e)$
  - the mean excess return per unit of volatility $\sigma$
  - monthly figures annualised with $\times 12$ (mean) and $\times\sqrt{12}$ (volatility, Sharpe)
- **Maximum drawdown**: $\min_t(W_t/\max_{s\le t} W_s - 1)$
  - the largest fall of wealth $W_t$ from a previous peak
- **Out of sample** (OOS): the weights held in month $t$ use only data up to month $t-1$
- **In sample**: the same data serve for estimation and for evaluation
- **Rules of this chapter**
  - MV (mean–variance): tangency portfolio from sample moments; GMV: global minimum variance
  - MV-LO and GMV-LO: their long-only (LO) versions; GMV-LW: GMV with Ledoit–Wolf (LW) covariance shrinkage
  - ERC (equal risk contribution) and HRP: risk-based rules; 1/N: equal weights

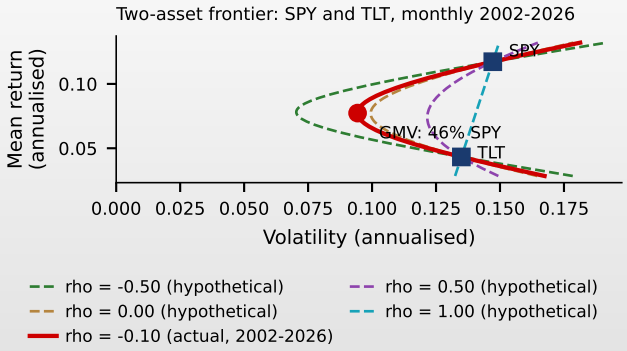
## The Markowitz Problem

- The question of this section: which weights do we choose if $\boldsymbol{\mu}$ and $\boldsymbol{\Sigma}$ are known?
- Markowitz (1952): investors care about the mean and the variance of portfolio returns
- **Minimum-variance frontier**: minimum variance for every target mean $m$
  - its upper branch, $m \geq \mu_{\text{GMV}}$ (the mean of the GMV portfolio), is the **efficient frontier**

$$\min_{\mathrm{w}} \ \mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w} \quad \text{s.t.} \quad \mathrm{w}^\top \boldsymbol{\mu} = m, \quad \mathrm{w}^\top 1 = 1$$

  - constraints: the target mean $m$ and full investment (weights sum to 1)
- Utility form, risk aversion $\gamma > 0$: $\max_{\mathrm{w}} \ \mathrm{w}^\top \boldsymbol{\mu} - \frac{\gamma}{2} \mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w}$ s.t. $\mathrm{w}^\top 1 = 1$
  - as $\gamma$ varies, the solution traces exactly the efficient branch
- Weights may be negative: a **short sale** (selling a borrowed asset)

# Two Assets: How Correlation Diversifies




- Two assets, correlation $\rho$: $\sigma_p^2 = w^2\sigma_1^2 + (1-w)^2\sigma_2^2 + 2w(1-w)\rho\sigma_1\sigma_2$
  - $w$: weight of asset 1, $\sigma_1$, $\sigma_2$: volatilities, $\sigma_p$: portfolio volatility
- Minimised at $w^* = \dfrac{\sigma_2^2 - \rho\sigma_1\sigma_2}{\sigma_1^2 + \sigma_2^2 - 2\rho\sigma_1\sigma_2}$
- SPY and TLT, equities and long Treasuries, monthly 2002–2026: $\rho = -0.10$
  - $w^* = 46\%$ SPY, volatility 9.4% (SPY 14.7%, TLT 13.5%)
  - time-varying correlation: Chapter 6
- Chart: means of total returns and annualised volatilities, in decimals ($0.10 = 10\%$)
- The lower $\rho$, the more the curve bends to the left

MFM_ch4_two_asset ▶ Interactive

## The Global Minimum-Variance (GMV) Portfolio

- The problem: $\min_{\mathrm{w}} \mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w}$ s.t. $\mathrm{w}^\top 1 = 1$, $\boldsymbol{\Sigma}$ positive definite
- Lagrangian $\mathcal{L} = \mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w} - \lambda(\mathrm{w}^\top 1 - 1)$
  - $\lambda$: the Lagrange multiplier of the budget constraint
- First-order condition $2\boldsymbol{\Sigma}\mathrm{w} = \lambda 1$, so $\mathrm{w} = \frac{\lambda}{2}\boldsymbol{\Sigma}^{-1}1$
- The budget gives $\frac{\lambda}{2} = 1/A$, with $A = 1^\top \boldsymbol{\Sigma}^{-1} 1$
- Result: $\mathrm{w}_{\mathrm{GMV}} = \boldsymbol{\Sigma}^{-1}1/A$, variance $\sigma^2_{\mathrm{GMV}} = 1/A$
- Needs only $\boldsymbol{\Sigma}$, not the means

## The Tangency Portfolio

- The problem: $\max_{\mathrm{w}} \mathrm{w}^\top \boldsymbol{\mu} / \sqrt{\mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w}}$ s.t. $\mathrm{w}^\top 1 = 1$
  - $\boldsymbol{\mu}$: the expected **excess** returns
- First-order condition: $\boldsymbol{\mu} = \dfrac{\mathrm{w}^\top \boldsymbol{\mu}}{\mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w}} \boldsymbol{\Sigma} \mathrm{w}$, so $\mathrm{w} \propto \boldsymbol{\Sigma}^{-1} \boldsymbol{\mu}$
- The budget gives $\mathrm{w}_{\mathrm{MV}} = \boldsymbol{\Sigma}^{-1} \boldsymbol{\mu} / B$, with $B = 1^\top \boldsymbol{\Sigma}^{-1} \boldsymbol{\mu}$
- Maximum Sharpe ratio $\theta$: $\theta^2 = \boldsymbol{\mu}^\top \boldsymbol{\Sigma}^{-1} \boldsymbol{\mu}$
  - needs $\boldsymbol{\mu}$ and $\boldsymbol{\Sigma}$
- The Sharpe ratio of $\mathrm{w}_{\mathrm{MV}}$ is $\mathrm{sign}(B)\,\theta$: the maximum only if $B > 0$
- $B < 0$ gives the minimum-Sharpe portfolio
  - for $B = 0$ there is no fully invested solution

# Separation and the Frontier in Closed Form



James Tobin, Nobel Prize in Economics 1981

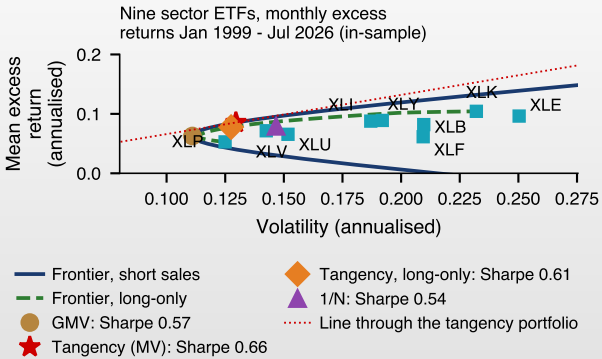
Photo: unknown author (1962); public domain; Wikimedia Commons

- Tobin (1958): add a riskless asset paying $R_f$
  - every investor holds the **same** risky portfolio, the tangency portfolio, mixed with cash or borrowing
  - risk aversion changes only the mix: **two-fund separation**, the bridge to the Capital Asset Pricing Model (CAPM; Chapter 3)
- Merton (1972): with short sales, the frontier is a hyperbola
  - $\Sigma$ positive definite, $\mu$ not proportional to 1
  - $A$ and $B$ as on the two previous slides; $C = \mu^\top \Sigma^{-1} \mu = \theta^2$, $D = AC - B^2 > 0$

$$\sigma^2(m) = \frac{Am^2 - 2Bm + C}{D}$$

- $\sigma^2(m)$: the smallest variance with mean $m$
  - a parabola in the $(\sigma^2, m)$ plane (derivation: ▸ Appendix)
  - the GMV sits at $m = B/A$, $\sigma^2 = 1/A$
  - every frontier portfolio mixes any two distinct frontier portfolios, e.g. GMV and tangency (if $B \neq 0$)

# The Frontier of US Sectors



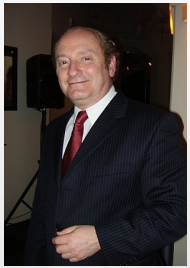

- Monthly excess returns, January 1999 – July 2026 ($T = 331$)
  - axes annualised, in decimals
  - all parameters estimated on the full sample: an **in-sample** picture
- Tangency: Sharpe 0.66; GMV: 0.57 (volatility 11.1%); 1/N: 0.54
- Tangency: short positions ($-0.37$ financials, $-0.21$ materials)
  - the largest long position in health care ($+0.37$)
- Long-only tangency: Sharpe 0.61
  - materials, financials and industrials get exactly zero, a **corner solution**
- Dotted line: mixes of the tangency portfolio with cash, from the origin, slope 0.66
- The gain over 1/N is small even with perfect hindsight

MFM_ch4_frontier ▶ Interactive

## Constraints

- **Long-only** (LO): $w_i \geq 0$
  - no closed form, solved by quadratic programming
- Position limits: $w_i \leq 0.2$
  - sector or asset-class limits: $\sum_{i \in G} w_i \leq c_G$
  - $G$ a group of assets, $c_G$ its cap
- Leverage limit: $\sum_i |w_i| \leq L$
  - $\sum_i |w_i|$: gross exposure
  - $L = 1$ means no short sales
- Frost & Savarino (1988): constraining weights improved out-of-sample performance
  - the reason: constraints act as shrinkage of the covariance matrix (Jagannathan & Ma (2003); slide Constraints Are Shrinkage Too)

# Means Are Hard to Estimate: Merton's Argument

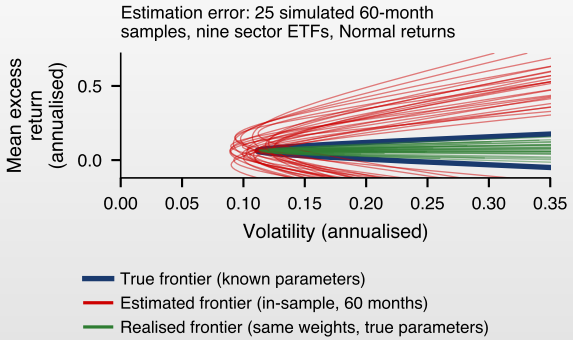


Robert C. Merton, Nobel Prize in Economics 1997

Photo: Digarnick (2006); public domain; Wikimedia Commons

- The question of this section: how much does the optimal portfolio lose when $\boldsymbol{\mu}$ and $\boldsymbol{\Sigma}$ are replaced by estimates?
- Merton (1980): $Y$ years sampled $h$ times a year
  - i.i.d. Normal returns (a diffusion) with annual mean $\mu$ and variance $\sigma^2$
  - $\mathrm{Var}(\hat{\mu}) = \sigma^2/Y$: independent of $h$; only the **span** of the sample helps
  - $\mathrm{Var}(\hat{\sigma}^2) \approx 2\sigma^4/(hY) \to 0$ as $h \to \infty$ (Normal; in general $(\kappa - 1)\sigma^4/(hY)$, $\kappa$ the kurtosis)
  - the general formula requires a finite fourth moment, which Chapter 1 questions
- SPY, $Y = 24$, $\sigma = 14.7\%$: standard error 3.0%
  - 95% interval $[5.8\%, 17.6\%]$ for a mean of 11.7%
- A standard error of 1% needs $(0.147/0.01)^2 \approx 217$ years
- Chopra & Ziemba (1993): errors in means cost about ten times more than errors in variances
  - rules without means (GMV, risk parity) are more robust

# Error Maximisation: Estimated versus Realised Frontiers (1/2)




- Michaud (1989): optimisers are **estimation-error maximisers**
  - Best & Grauer (1991): a tiny change in one mean moves many weights
- True parameters = sector moments 1999–2026
  - draw 60 Normal months, optimise, evaluate with the true parameters
- Chart: 25 simulated 60-month samples
  - red: estimated frontiers, too optimistic
  - green: the same portfolios under the true parameters, all below the true frontier

MFM_ch4_estimation_error ▶ Interactive

## Error Maximisation: Estimated versus Realised Frontiers (2/2)

- 2000 simulated tangency portfolios: median estimated maximum Sharpe 1.56
  - median true Sharpe 0.30, true optimum 0.66
- 96% have a true Sharpe below 1/N (0.54), 7.5% below zero
- In 11% of samples $\hat{B} = 1^\top \hat{\boldsymbol{\Sigma}}^{-1} \hat{\boldsymbol{\mu}} < 0$
  - so the tangency formula returns the minimum-Sharpe portfolio

MFM_ch4_estimation_error

# The Plug-in Sharpe Ratio Is Biased (1/2)

- i.i.d. $N(\boldsymbol{\mu}, \boldsymbol{\Sigma})$ returns, $T$ months, $N$ assets (Kan & Zhou (2007))
  - $T\hat{\boldsymbol{\Sigma}}$: Wishart distribution, Appendix
  - $\hat{\theta}^2 = \hat{\boldsymbol{\mu}}^\top \hat{\boldsymbol{\Sigma}}^{-1} \hat{\boldsymbol{\mu}}$: the in-sample squared maximum Sharpe ratio, from the maximum-likelihood $\hat{\boldsymbol{\mu}}$, $\hat{\boldsymbol{\Sigma}}$; $\theta^2$: its true value

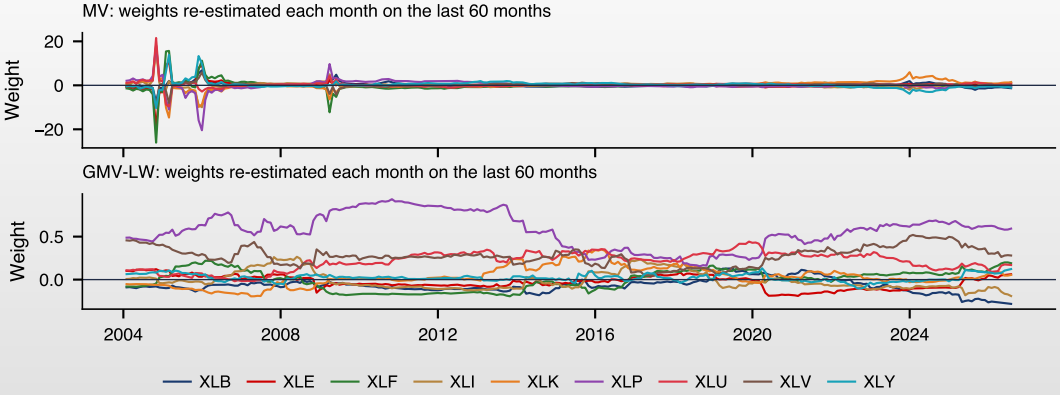
$$\mathbb{E}[\hat{\theta}^2] = \frac{T}{T-N-2}\left(\theta^2 + \frac{N}{T}\right) = \frac{T\theta^2 + N}{T-N-2}, \qquad T > N+2$$

- Sectors: $N = 9$, $T = 60$, true $\theta = 0.66$ a year: $\sqrt{12\,\mathbb{E}[\hat{\theta}^2]} = 1.65$ a year
  - a root mean square, not a median
  - the simulated median 1.56 is lower: $\hat{\theta}$ is right-skewed; derivation: Seminar 4, A8

# The Plug-in Sharpe Ratio Is Biased (2/2)

- Unbiased estimator of $\theta^2$: $\hat{\theta}^2_u = \left[(T - N - 2)\,\hat{\theta}^2 - N\right]/T$
  - It can be negative; truncating at zero gives a nonnegative but upward-biased estimator, and $\sqrt{\hat{\theta}^2_u}$ is not unbiased for $\theta$
- Sectors, full sample ($T = 331$), under i.i.d. Normality: the bias correction of $\hat{\theta}^2$ lowers the equivalent point estimate of the Sharpe ratio from 0.66 (plug-in) to about 0.31 a year
  - the correction concerns $\theta^2$: it does not show which part of the observed Sharpe ratio is noise
- Tangency weights: $\mathrm{w} = \mathrm{b}/1^\top \mathrm{b}$ (Britten-Jones (1999))
  - b: the ordinary least squares (OLS) coefficients of a regression of 1 on the excess returns, without a constant
  - derivation: Appendix; Seminar 4, A9 and B6

# Unstable Weights (1/2)



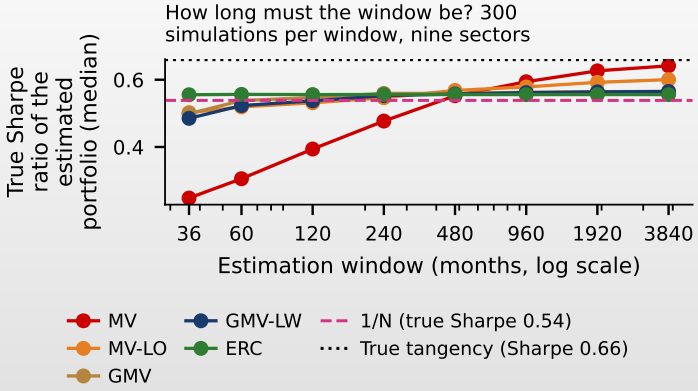

MFM_ch4_oos_backtest ▶ Interactive

## Unstable Weights (2/2)

- Nine sector ETFs; a 60-month rolling window
  - one of the two windows of DeMiguel, Garlappi & Uppal (2009) (60 and 120 months)
  - a longer window cuts estimation error, a shorter one tracks regime changes faster
- MV: median gross exposure $\sum_i |w_i| = 4.9$
  - above 3 in 90% of the months
  - largest single weight 26 in absolute value
- Explosions in 2004–2006 and 2009
  - the denominator $1^\top \hat{\Sigma}^{-1} \hat{\mu}$ is close to zero, so the tangency weights have very heavy tails
  - Negative in 12 of 271 windows: MV then holds the minimum-Sharpe portfolio
- GMV-LW (bottom): gross exposure 1.5, largest weight 0.94
- Unstable weights mean high turnover, hence high trading costs

MFM_ch4_oos_backtest

# How Long Must the Window Be to Beat 1/N? (1/2)




MFM_ch4_window_length ▶ Interactive

# How Long Must the Window Be to Beat 1/N? (2/2)

- DeMiguel, Garlappi & Uppal (2009): 14 models on 7 data sets
  - none beats 1/N consistently in Sharpe ratio, certainty-equivalent return or turnover
  - certainty-equivalent return: mean $-\frac{\gamma}{2}\times$ variance, the riskless return worth the same utility
- In their calibration MV needs a window of about 3000 months for 25 assets
- Chart: 300 simulated samples per window
  - horizontal axis: window, months, log scale
  - population parameters = sector moments
  - vertical axis: the median true Sharpe ratio
- MV beats 1/N only with 480 months (40 years)
  - median true Sharpe 0.55 vs 0.54
  - with 60 months 0.31
- MV-LO, GMV, GMV-LW are close to 1/N from 60 months on
  - ERC is almost insensitive, 0.56
- In this calibration 1/N is nearly efficient (true tangency 0.66)
  - simulation evidence, not an empirical test

MFM_ch4_window_length

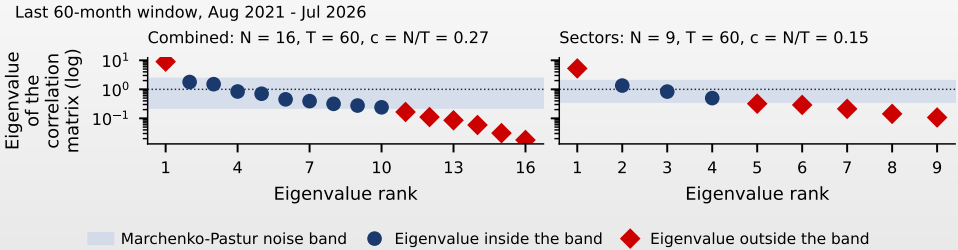
## Why the Sample Covariance Matrix Fails

- The question of this section: how do we estimate $\boldsymbol{\Sigma}$ so that $\hat{\boldsymbol{\Sigma}}^{-1}$ does not amplify noise?
- Sample eigenvalues are too dispersed: the largest too large, the smallest too small
- **Condition number**: largest over smallest eigenvalue
  - a large value means $\boldsymbol{\Sigma}^{-1}$ amplifies noise
- Optimisers invert $\boldsymbol{\Sigma}$, so they load on the directions with the smallest estimated variance
- The demeaned sample matrix has rank at most $T - 1$: singular, not invertible, whenever $T \leq N$
- **Marchenko–Pastur** benchmark (Marčenko & Pastur (1967))
  - i.i.d. returns with $\boldsymbol{\Sigma} = \sigma^2 \mathbf{I}$ ($\mathbf{I}$: identity matrix)
  - as $N, T \to \infty$ with $N/T \to c \in (0, 1)$, the sample eigenvalues fill

$$[\lambda_-, \lambda_+] = \left[\sigma^2(1 - \sqrt{c})^2,\ \sigma^2(1 + \sqrt{c})^2\right]$$

  - $\lambda_-$, $\lambda_+$: the smallest and largest eigenvalue that pure noise produces
  - $c = 16/60 = 0.27$: band $[0.23, 2.30]$ for a correlation matrix ($\sigma^2 = 1$), a ten-fold spread from noise alone
  - Laloux et al. (1999): eigenvalues outside the band are candidates for structure; those inside cannot be told from noise by this comparison alone

# Sample Eigenvalues versus the Noise Band (1/2)




- Correlation matrices of monthly excess returns, last 60-month window (August 2021 – July 2026)
  - shaded band: $[\lambda_-, \lambda_+]$ for $\sigma^2 = 1$
- Only the market mode lies above $\lambda_+$
  - 9.0 (56% of the trace) for 16 ETFs, 5.2 for nine sectors ($\lambda_+ = 1.92$)
  - with the noise variance rescaled to $\sigma^2 = 1 - \lambda_1/N$ (Laloux et al. (1999)), three eigenvalues exceed the band in each universe

MFM_ch4_inference ▶ Interactive

## Sample Eigenvalues versus the Noise Band (2/2)

- Six of 16 eigenvalues lie **below** the band: directions of low standardised in-sample variance
  - such as long TLT and short IEF, scaled by their volatilities
- GMV puts large weights on these combinations
  - if their variance is underestimated, so is the GMV risk

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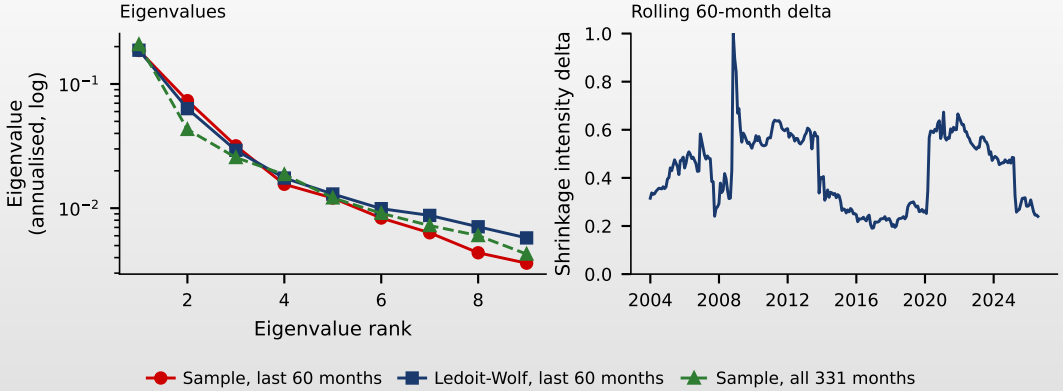
## The Shrinkage Estimator

- Shrink the sample matrix S towards a structured target F

$$\hat{\boldsymbol{\Sigma}}_{\mathsf{LW}} = \delta\,\mathsf{F} + (1-\delta)\,\mathsf{S}, \qquad 0 \le \delta \le 1$$

- Possible targets
  - the single-index model (Ledoit & Wolf (2003))
  - the scaled identity (Ledoit & Wolf (2004a))
  - constant correlation (Ledoit & Wolf (2004b))
- The target used here: $f_{ii} = s_{ii}$, $f_{ij} = \bar{r}\sqrt{s_{ii}s_{jj}}$ for $i \neq j$
  - $\bar{r}$: the average sample correlation
- Why this target: the sectors are all US equities with similar correlations
  - the target needs no choice of a market index
- Optimal intensity: $\delta^* = \max\{0, \min\{1, \hat{\kappa}/T\}\}$, $\hat{\kappa} = (\hat{\pi} - \hat{\rho})/\hat{\gamma}$
  - $\hat{\pi} - \hat{\rho}$: the estimated noise of S
  - $\hat{\gamma} = \|\mathsf{F} - \mathsf{S}\|^2$: the distance to the target (not the risk aversion $\gamma$)
- $\delta^*$ falls like $1/T$: in long samples $\delta^* \to 0$ (Appendix)

# Shrinkage on US Sectors (1/2)




MFM_ch4_shrinkage ▶ Interactive

## Shrinkage on US Sectors (2/2)

- Nine sector ETFs, monthly excess returns
  - left: annualised eigenvalues (log scale)
  - right: $\delta^*$ on rolling 60-month windows
- Last window, August 2021 – July 2026: $\delta^* = 0.24$
- The smallest eigenvalues rise
  - the largest is almost unchanged, the second falls from 0.073 to 0.063
- Condition number $51.6 \to 32.5$
  - the matrix on all 331 months (green) has 48.7
- Rolling $\delta^*$: mean 0.43, range 0.19–1.00
- $\delta^* = 1$ only in the window ending in October 2008
  - the crisis month triples the estimated noise $\hat{\pi}$ of S, while the distance $\hat{\gamma}$ to the target barely moves

MFM_ch4_shrinkage

## Constraints Are Shrinkage Too

- Jagannathan & Ma (2003): the long-only GMV equals the unconstrained GMV of a modified covariance matrix

$$\tilde{S} = S - (\boldsymbol{\lambda} 1^\top + 1\boldsymbol{\lambda}^\top), \qquad \mathcal{L} = \tfrac{1}{2} w^\top S w - \lambda_0 (w^\top 1 - 1) - \boldsymbol{\lambda}^\top w$$

  - $\boldsymbol{\lambda} \geq 0$: the Lagrange multipliers of the constraints $w_i \geq 0$ in $\mathcal{L}$; $\lambda_i > 0$ only where the constraint binds
  - The first-order condition $Sw = \lambda_0 1 + \boldsymbol{\lambda}$ and $\boldsymbol{\lambda}^\top w = 0$ give $\tilde{S}w = \lambda_0 1$: the GMV condition for $\tilde{S}$
  - step by step, with the budget $1^\top w = 1$: $\tilde{S}w = Sw - \boldsymbol{\lambda}(1^\top w) - 1(\boldsymbol{\lambda}^\top w) = \lambda_0 1 + \boldsymbol{\lambda} - \boldsymbol{\lambda} - 0$
- $\tilde{s}_{ij} = s_{ij} - \lambda_i - \lambda_j$: a binding constraint on asset $i$ lowers its covariances
  - this shrinks the large estimates
  - why there: the unconstrained GMV shorts assets with high covariances with the others, so $w_i \geq 0$ binds on exactly those assets, whose large covariance estimates are the most likely to be inflated by noise
- Imposing the "wrong" constraint (no short sales) can reduce out-of-sample risk
  - the effect is largest when covariances come from few observations

## Constraints as Shrinkage: A Two-Asset Example

- $\sigma_1 = 25\%$, $\sigma_2 = 10\%$, $\rho = 0.5$: $s_{11} = 0.0625$, $s_{22} = 0.0100$, $s_{12} = 0.0125$
- Unconstrained GMV: $w_1^* = (s_{22} - s_{12})/(s_{11} + s_{22} - 2s_{12}) = -0.0025/0.0475 = -0.053$
  - the volatile asset is shorted because it co-moves strongly with the other; volatility 9.93%
- Long-only: $w_1 \geq 0$ binds, w $= (0, 1)$, volatility 10%
  - first-order condition: Sw $= (s_{12}, s_{22}) = (0.0125, 0.0100) = \lambda_0 1 + \boldsymbol{\lambda}$, so $\lambda_0 = 0.0100$, $\boldsymbol{\lambda} = (0.0025, 0)$
- Modified matrix: $\tilde{s}_{12} = 0.0125 - 0.0025 = 0.0100$
  - $\tilde{s}_{11} = 0.0625 - 2(0.0025) = 0.0575$, $\tilde{s}_{22} = 0.0100$
  - correlation lowered from 0.5 to $0.0100/\sqrt{0.0575 \times 0.0100} \approx 0.42$; the variance of asset 1 also falls
  - unconstrained GMV of $\tilde{\mathrm{S}}$: $w_1^* = (0.0100 - 0.0100)/(\cdots) = 0$, the long-only solution

# From Covariance Shrinkage to Mean Shrinkage



Fischer Black (1938–1995)

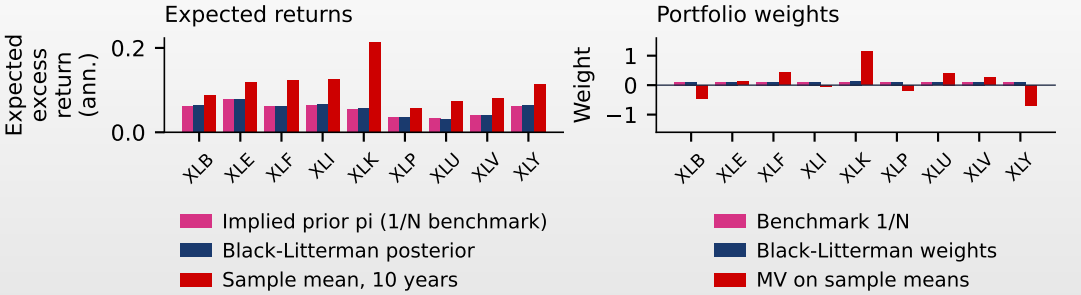
Photo: Dalmatine at English Wikipedia; public domain; Wikimedia Commons

- The question of this section: which means do we use, if the sample means are too imprecise?
- Black & Litterman (1992) shrinks the means towards those implied by a **benchmark** portfolio $w_b$
- Reverse optimisation: a mean–variance investor with risk aversion $\delta_{\mathbf{RA}}$ and access to cash
  - holds $w^* = (\delta_{\mathbf{RA}} \boldsymbol{\Sigma})^{-1} \boldsymbol{\mu}$ in risky assets
  - the returns that make $w_b$ optimal are

$$\boldsymbol{\pi} = \delta_{\mathbf{RA}} \boldsymbol{\Sigma} w_b$$

- $\boldsymbol{\pi}$: **implied** (equilibrium) excess returns
  - with market weights, the CAPM returns
- Here: no market capitalisations for the sectors, so $w_b = 1/N$, $\delta_{\mathbf{RA}} = 2.5$
- Then add the investor's **views**, weighted by their confidence

# Black–Litterman on US Sectors (1/2)




MFM_ch4_black_litterman ▶ Interactive

# Black–Litterman on US Sectors (2/2)

- Left: annualised means
  - the implied means $\boldsymbol{\pi}$
  - the Black–Litterman means after the view
  - the 10-year sample means
- Right: the 1/N, Black–Litterman and sample-mean MV weights
- $\boldsymbol{\Sigma}$ from monthly excess returns, August 2016 – July 2026
  - 120 months, the other window of DeMiguel, Garlappi & Uppal (2009)
- One relative view: XLK minus XLU $= 3\%$ a year (view portfolio: $+1$ XLK, $-1$ XLU)
- XLK minus XLU: 2.2% implied, 2.6% after combining with the view (formula on the next slide)
- Weights: XLK from 11.1% to 14.4%, XLU from 11.1% to 7.8%
  - all others unchanged (by hand: Seminar 4, A7)
- With sample means instead (XLK: 21.3% a year)
  - the MV weights become $+115\%$ XLK, $-68\%$ XLY and $-45\%$ XLB

MFM_ch4_black_litterman

## Views and the Posterior

- Prior: $\boldsymbol{\mu} \sim N(\boldsymbol{\pi}, \tau\boldsymbol{\Sigma})$
  - $\tau$ scales the uncertainty about $\boldsymbol{\pi}$
- $K$ views: $\mathrm{P}\boldsymbol{\mu} = \mathrm{q} + \boldsymbol{\varepsilon}$, $\boldsymbol{\varepsilon} \sim N(0, \boldsymbol{\Omega})$
  - P: $K \times N$ matrix, row $k$ = the portfolio of view $k$
  - q: the view returns; $\boldsymbol{\Omega}$: their uncertainty
- Posterior mean, a precision-weighted average

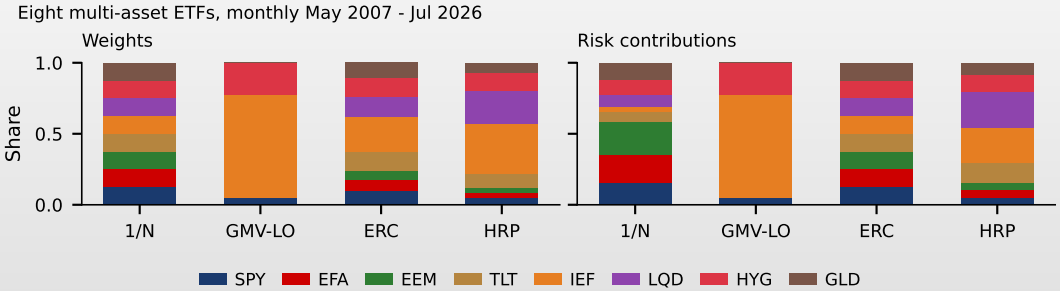
$$\boldsymbol{\mu}_{\mathbf{BL}} = \left[(\tau\boldsymbol{\Sigma})^{-\mathbf{1}} + \mathrm{P}^{\top}\boldsymbol{\Omega}^{-\mathbf{1}}\mathrm{P}\right]^{-\mathbf{1}}\left[(\tau\boldsymbol{\Sigma})^{-\mathbf{1}}\boldsymbol{\pi} + \mathrm{P}^{\top}\boldsymbol{\Omega}^{-\mathbf{1}}\mathrm{q}\right]$$

- Black–Litterman weights: $\mathrm{w}_{\mathbf{BL}} = (\delta_{\mathbf{RA}}\boldsymbol{\Sigma})^{-\mathbf{1}}\boldsymbol{\mu}_{\mathbf{BL}}$
- One asset, $\pi = 5\%$, $\tau\sigma^{\mathbf{2}} = 0.00128$, view 8% with variance 0.0004
  - view weight $0.00128/(0.00128 + 0.0004) = 0.76$, so $\mu_{\mathbf{BL}} = 7.29\%$


▸ Appendix: limiting cases, $\delta_{\mathbf{RA}}$, $\tau$

# Weights versus Risk Contributions (1/2)

The question of this section: can we build weights from $\Sigma$ alone, without means and without inverting $\Sigma$?




MFM_ch4_risk_contrib ▶ Interactive

## Weights versus Risk Contributions (2/2)

- Eight multi-asset ETFs, full-sample covariance, May 2007 – July 2026 ($T = 231$)
  - volatilities from 6.7% (IEF) to 21.1% (EEM)
- Left: the weights; right: each asset's share of risk
  - share of risk: $w_i(\Sigma \mathrm{w})_i / \sigma_p^2$ (next slide)
  - shares in decimals ($0.5 = 50\%$)
- 1/N: equities and high yield receive half of the weight but 69% of the risk
- ERC (equal risk contribution): 12.5% of the risk from every asset
  - IEF gets the largest weight (25%)
- Long-only GMV: 73% IEF, 22% HYG, 5% SPY, five assets at zero
- HRP (Hierarchical Risk Parity): largest weights IEF (35%) and LQD (23%)
- Volatility: 1/N 9.4%, ERC 7.9%, HRP 7.1%, long-only GMV 5.8%

MFM_ch4_risk_contrib

## Risk Contributions

- Volatility is homogeneous of degree one in the weights (Euler)

$$\sigma_p = \sum_{i=1}^{N} w_i \frac{\partial \sigma_p}{\partial w_i} = \sum_{i=1}^{N} \frac{w_i (\Sigma \mathrm{w})_i}{\sigma_p}$$

- **Risk contribution** of asset $i$: $RC_i = w_i(\Sigma \mathrm{w})_i / \sigma_p$
  - percentage share $RC_i/\sigma_p = w_i(\Sigma \mathrm{w})_i/\sigma_p^2$
- Worked example, 50/50 in SPY and IEF (monthly 2002–2026, annualised)
  - $\sigma_1^2 = 0.02166$, $\sigma_2^2 = 0.00441$, $\sigma_{12} = -0.00098$
  - $(\Sigma \mathrm{w})_1 = 0.5(0.02166) + 0.5(-0.00098) = 0.01034$, $(\Sigma \mathrm{w})_2 = 0.5(-0.00098) + 0.5(0.00441) = 0.00172$
  - $\sigma_p^2 = 0.5(0.01034) + 0.5(0.00172) = 0.00603$, $\sigma_p = 7.76\%$; shares: SPY 85.8%, IEF 14.2%
- Risk budgeting chooses w so that the shares equal preset budgets $b_i$

## Equal Risk Contribution

- ERC (Maillard, Roncalli & Teïletche (2010)): $RC_i = RC_j$ for all $i, j$
  - computed from a convex problem, then normalised

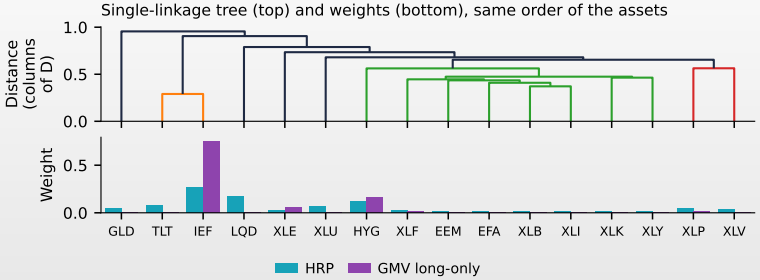
$$\min_{\mathrm{y}>0} \ \tfrac{1}{2}\mathrm{y}^\top \boldsymbol{\Sigma}\mathrm{y} - \tfrac{1}{N}\textstyle\sum_i \ln y_i, \qquad \mathrm{w} = \mathrm{y}/1^\top\mathrm{y}$$

  - y: unnormalised positive weights; the log term keeps every $y_i > 0$ and its first-order condition gives $y_i(\boldsymbol{\Sigma}\mathrm{y})_i = 1/N$ for all $i$
- For $\boldsymbol{\Sigma}$ positive definite a solution exists and is unique
  - strictly convex objective, infinite at the boundary
- Volatility ordering: $\sigma_{\mathrm{GMV}} \leq \sigma_{\mathrm{ERC}} \leq \sigma_{1/N}$
- Two assets: ERC is **inverse volatility**, $w_1 = \sigma_1^{-1}/(\sigma_1^{-1} + \sigma_2^{-1})$
  - for any $\rho \in (-1, 1)$
  - SPY (14.7%) and IEF (6.6%): ERC holds 31% SPY, volatility 6.1%, each asset 50% of the variance
- ERC is the tangency portfolio if all assets have the same Sharpe ratio and equal correlations

# Hierarchical Risk Parity: From a Tree to Weights

- HRP (López de Prado (2016)): three steps, no matrix inversion, all weights positive
  - works even when $\boldsymbol{\Sigma}$ is singular
- **Step 1, tree**
  - correlation distance $d_{ij} = \sqrt{(1-\rho_{ij})/2} \in [0,1]$; $\rho_{ij}$: correlation of assets $i$ and $j$
  - Euclidean distance between the **columns** of $\mathrm{D} = (d_{ij})$: $\tilde{d}_{ij} = \sqrt{\sum_k (d_{ki} - d_{kj})^2}$
  - single linkage on $\tilde{d}_{ij}$ (repeatedly merge the two closest clusters) gives a **dendrogram**
- **Step 2, quasi-diagonalisation**
  - order the assets as the leaves of the tree, so that similar ones are adjacent
- **Step 3, recursive bisection**: split the **ordered list** in two halves
  - the halves get $\alpha$ and $1-\alpha$, $\alpha = 1 - V_1/(V_1+V_2)$, $V_j = \tilde{\mathrm{w}}_j^\top \boldsymbol{\Sigma}_j \tilde{\mathrm{w}}_j$ the variance of half $j$
  - $\tilde{\mathrm{w}}_j$: weights $\tilde{w}_i \propto 1/\sigma_i^2$ inside half $j$, $\boldsymbol{\Sigma}_j$ its covariance
  - repeat inside each half until single assets remain
- Mantegna (1999): the same distance and the **minimum spanning tree** reveal the hierarchy of a stock market
- Textbook: Härdle & Simar (2019), cluster analysis
- A worked four-asset example: Seminar 4, B4

# HRP on 16 ETFs



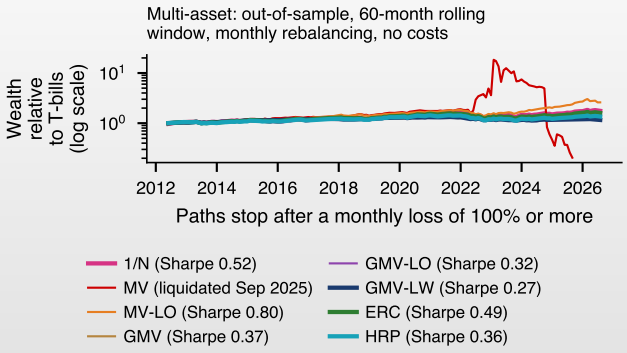

- Nine sectors and seven multi-asset ETFs, monthly, May 2007 – July 2026
  - closest pair TLT and IEF ($\tilde{d} = 0.29$), gold joins last (0.96)
- Equity cluster: cyclical sectors, EFA, EEM and high-yield credit
  - defensive sectors (utilities, staples, health care) and energy join it late
- HRP: all 16 weights positive, largest IEF 26.7%, LQD 17.6%, HYG 12.6%
  - long-only GMV: 75.6% in IEF and only five assets above zero

MFM_ch4_hrp ▶ Interactive

## Backtest Design

- The question of this section: does an estimated rule beat 1/N
  - when the weights use only the data available at the decision date?
- The weights of month $t$ use months $t-60, \ldots, t-1$ only (the 60-month rolling window)
- Monthly rebalancing, at the data frequency
  - its cost is measured separately, through turnover
- Eight rules: 1/N, MV, MV-LO, GMV, GMV-LO, GMV-LW, ERC, HRP
- A rule whose wealth reaches zero (a monthly loss of 100% or more) is liquidated
  - its later returns are not an investment outcome
  - it is left out of the Sharpe comparisons, the cost analysis and the tests
- Three universes
  - Sectors: OOS January 2004 – July 2026, 271 months (first window 1999–2003)
  - Multi-asset and combined: OOS May 2012 – July 2026, 171 months
- Measures
  - annualised Sharpe $\sqrt{12}\,\bar{r}^e/\hat{\sigma}(r^e)$ from excess returns
  - maximum drawdown from total returns
  - every difference from 1/N with a test, corrected for multiple testing

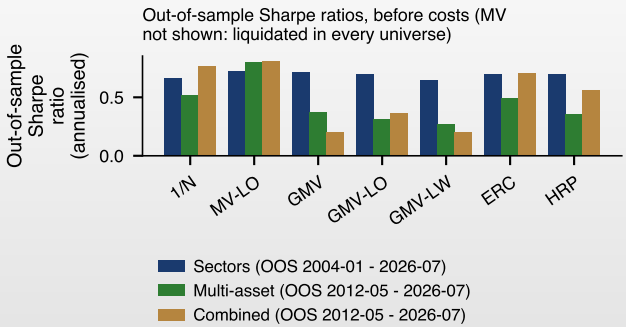
# Out-of-Sample Growth: Multi-Asset




- Vertical axis: wealth relative to a Treasury-bill account, log scale
  - eight multi-asset ETFs, before costs
- MV collapses: turnover 44 times wealth per month
  - liquidated in September 2025, after a monthly loss above 100%
- MV-LO has the highest Sharpe (0.80); 1/N 0.52; ERC 0.49
- GMV rules: lowest volatility (3.8%–5.4%), low Sharpe (0.27–0.37)
  - they load on Treasuries, whose excess returns were slightly negative after May 2012 (TLT −0.5%, IEF −0.2% a year)
- MV-LO: better, or lucky? A test decides

MFM_ch4_oos_backtest ▶ Interactive

# Sharpe Ratios Across Universes




- Annualised, before costs
  - complete tables for all three universes in the ▸ Appendix
- MV is not shown: its wealth reaches zero in every universe
  - sectors March 2009, multi-asset September 2025, combined January 2023
- Sectors: every other rule lands within 0.07 of 1/N (0.66)
- 1/N has 0.66 here (2004–2026), not 0.54 as in the simulations (1999–2026)
  - the periods differ
- Combined: 1/N 0.76, MV-LO 0.81, ERC 0.71
  - the GMV rules 0.20–0.36
- Turnover per month, sectors: 1/N 0.02, ERC 0.03, GMV-LW 0.14, MV-LO 0.23

MFM_ch4_oos_backtest ▸ Interactive

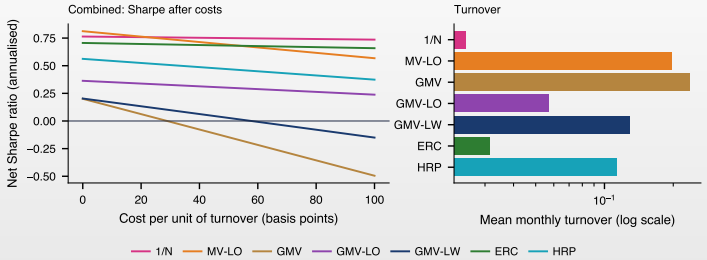
# Turnover and Costs: One Worked Month (1/2)

- Between rebalancings weights drift with returns: $w^{+}_{i,t} = w_{i,t}(1 + R_{i,t}) / \sum_j w_{j,t}(1 + R_{j,t})$
  - $R_{i,t}$: **total** return of asset $i$ in month $t$; the denominator is $1 + R_{p,t}$, one plus the portfolio's total return
- **Turnover**: traded fraction of wealth, $TO_{t+1} = \sum_i |w_{i,t+1} - w^{+}_{i,t}|$
  - summed over all $N$ assets
- Worked month, sectors, 1/N: in January 2004 XLB returned $-4.4\%$ and XLK $+4.3\%$
  - so the weights of 11.11% drifted to 10.50% and 11.45%
  - 1/N total return in January 2004: 1.18% (excess 1.11% plus the Treasury bill 0.07%; Seminar 4, B1)
  - XLB: $\frac{1}{9}(1 - 0.044)/1.0118 = 10.50\%$; XLK: $\frac{1}{9}(1 + 0.043)/1.0118 = 11.45\%$

## Turnover and Costs: One Worked Month (2/2)

- Rebalancing back to 1/N in February 2004 trades $TO = 0.019$
  - 1/N also trades, selling winners and buying losers
  - XLB and XLK contribute $|0.1111 - 0.1050| + |0.1111 - 0.1145| = 0.0061 + 0.0034 = 0.0095$; the other seven sectors about 0.009 together
  - MV-LO, re-estimated on the new window, trades 0.748 in the same month
- Net return with cost $c$ per unit traded: $R^{\text{net}}_{p,t} = R_{p,t} - c\, TO_t$
  - 1 basis point (bp) $= 0.01\%$, so 20 bp means $c = 0.002$
  - At 20 bp the February trade costs MV-LO $0.002 \times 0.748 = 0.15\%$ of wealth, 1/N $0.002 \times 0.019 = 0.004\%$

# Sharpe Ratios after Costs




- Combined universe (16 ETFs)
  - left: net Sharpe (vertical) against the cost $c$, 0–100 bp per unit of turnover (horizontal)
  - right: mean monthly turnover, log scale, from 0.02 (1/N) to 0.24 (GMV)
  - MV is not shown: liquidated in January 2023
- Net Sharpe turns negative at about 29 bp for GMV and 58 bp for GMV-LW
  - MV-LO overtakes 1/N only for costs below about 22 bp (Seminar 4, B2)
- 1/N and ERC barely move: low turnover is an advantage

MFM_ch4_costs ▶ Interactive

## Inference on One Sharpe Ratio: Lo (2002)

- Lo (2002), i.i.d. Normal returns: $\sqrt{T}(\widehat{SR} - SR) \to N(0,\ 1 + SR^2/2)$
  - $SR$ monthly, $T$ the number of months
  - the standard error is $\sqrt{(1 + SR^2/2)/T}$
  - without Normality, the standard error requires a finite fourth moment, which Chapter 1 questions
- 1/N on sectors, $T = 271$: monthly $\widehat{SR} = 0.191$, standard error 0.061
  - Annualised $0.66 \pm 1.96 \times 0.21$: 95% interval $[0.25, 1.08]$
- Annualising by $\sqrt{q}$ ($q = 12$ months per year) is exact only without autocorrelation
  - in general $SR(q) = \eta(q)\, SR$

$$\eta(q) = \frac{q}{\sqrt{q + 2\sum_{k=1}^{q-1}(q-k)\rho_k}}$$

  - $\rho_k$: autocorrelation of monthly returns at lag $k$; positive $\rho_k$ lower $\eta$, negative $\rho_k$ raise it
- For 1/N on sectors: $\rho_1 = -0.03$, weighted sum $\sum_{k=1}^{11}(12-k)\rho_k = -0.50$
  - $\eta = 12/\sqrt{12 - 2(0.50)} = 12/\sqrt{11.0} = 3.62$ instead of $\sqrt{12} = 3.46$, annual Sharpe $0.191 \times 3.62 = 0.69$
  - the Sharpe ratio of the sum of the 12 monthly returns, not of the compounded annual return $\prod_t(1 + R_t) - 1$

## Testing a Difference in Sharpe Ratios

- $H_0$: $SR_1 = SR_2$ for two strategies evaluated on the same months
- Jobson & Korkie (1981), in the form corrected by Memmel (2003) and given in Ledoit & Wolf (2008)
  - for i.i.d. Normal returns: $z = \hat{\Delta}/\sqrt{\hat{\theta}/T}$
  - $\hat{\theta} = 2(1-\hat{\rho}) + \frac{1}{2}\left(\widehat{SR}_1^2 + \widehat{SR}_2^2 - 2\widehat{SR}_1\widehat{SR}_2\hat{\rho}^2\right)$
  - $\hat{\rho}$: the correlation of the two strategies
- Ledoit & Wolf (2008): a robust version, by the delta method

$$\hat{\Delta} = \widehat{SR}_1 - \widehat{SR}_2 = f(\hat{\mathrm{v}}), \qquad f(\mathrm{v}) = \frac{\mu_1}{\sqrt{\mathbb{E}r_1^2 - \mu_1^2}} - \frac{\mu_2}{\sqrt{\mathbb{E}r_2^2 - \mu_2^2}}$$

  - $r_{1t}$, $r_{2t}$: excess returns of the two strategies; $\mu_1$, $\mu_2$: their means; $\mathrm{v} = (\mu_1, \mu_2, \mathbb{E}[r_1^2], \mathbb{E}[r_2^2])$
  - standard error $\sqrt{\nabla f^\top \hat{\Psi} \nabla f / T}$
  - $\hat{\Psi}$: a HAC (heteroskedasticity and autocorrelation consistent) covariance of the four moments
  - HAC handles dependence, not the moment condition: the test requires a finite fourth moment, which Chapter 1 questions
- Strategies on the same assets are highly correlated: small differences can be significant


▸ Appendix: the HAC test step by step

# The Block Bootstrap

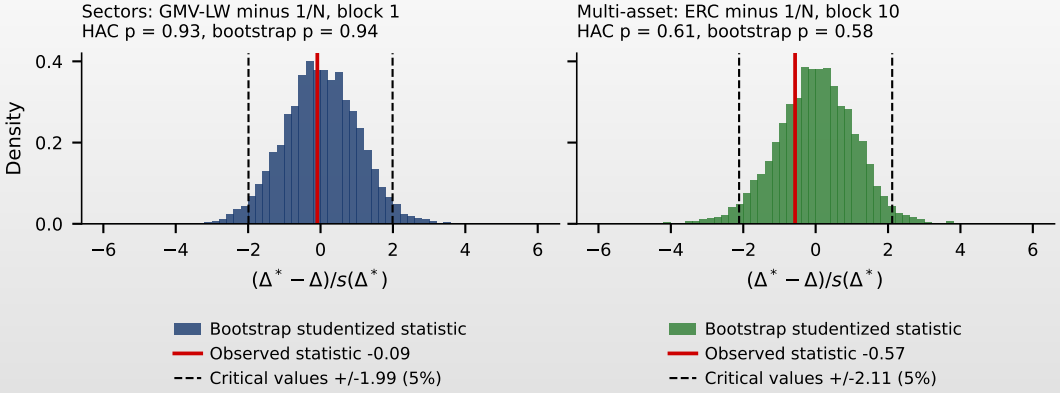


Bradley Efron, inventor of the bootstrap (1979)

Photo: Ryan K. Morris (2007); public domain; Wikimedia Commons

- Returns are dependent (volatility clustering)
  - resample **blocks** of consecutive months (Künsch (1989))
- Ledoit & Wolf (2008), Section 3.2.2: circular blocks of **pairs** $(r_{1t}, r_{2t})$
  - wrapping around the end of the sample, so the correlation of the two strategies is kept
- The statistic in draw $m$: $\tilde{d}^{*m} = |\hat{\Delta}^{*m} - \hat{\Delta}| / s(\hat{\Delta}^{*m})$
  - centred at $\hat{\Delta}$ and divided by the standard error $s(\cdot)$
- Asymptotically pivotal (its limit distribution has no unknown parameters)
  - it can improve on the Normal approximation of the HAC test in finite samples
- $p = \left[\#\{m : \tilde{d}^{*m} \geq |\hat{\Delta}| / s(\hat{\Delta})\} + 1\right] / (M + 1)$, with $M = 4999$ draws
- Block length chosen by the calibration of Ledoit & Wolf (2008), Algorithm 3.1 (▸ Appendix)
  - 1 for all six sector rules
  - between 1 and 10, most often 10, for multi-asset and combined rules

# Is Anything Better than 1/N? (1/2)




MFM_ch4_sharpe_test ▶ Interactive

## Is Anything Better than 1/N? (2/4)

- Horizontal axis: $(\Delta^* - \hat{\Delta})/s(\Delta^*)$
  - the bootstrap distribution of the studentized difference against 1/N
- Red: the observed statistic $\hat{\Delta}/s(\hat{\Delta})$
  - $-0.09$ (sectors, GMV-LW) and $-0.57$ (multi-asset, ERC)
  - dashed: bootstrap critical values $\pm 1.99$ and $\pm 2.11$
- Sectors, GMV-LW minus 1/N: $-0.02$, 95% interval $[-0.36, 0.33]$
  - HAC $p = 0.93$, bootstrap $p = 0.94$ (block 1)
- Multi-asset, ERC minus 1/N: $-0.03$, $[-0.15, 0.08]$
  - HAC $p = 0.61$, bootstrap $p = 0.58$ (block 10)
  - so correlated with 1/N that the interval is narrow, yet it covers zero
- Sectors: no rule differs from 1/N at 5%
  - the smallest $p$-value is ERC's ($+0.04$, HAC $p = 0.09$)
- Multi-asset: MV-LO $+0.29$ is **not** significant (HAC $p = 0.12$, bootstrap 0.16)
- The HAC and bootstrap $p$-values require a finite fourth moment, which Chapter 1 questions

MFM_ch4_sharpe_test

# Many Rules, Many Tests (1/2)

| Universe | Rule minus 1/N | $\hat{\Delta}$ | HAC $p$ | Bootstrap $p$ |
|---|---|---|---|---|
| Sectors | ERC | $+0.04$ | 0.0915 | 0.1296 |
| Multi-asset | HRP | $-0.16$ | 0.0720 | 0.0460 |
| Combined | GMV | $-0.56$ | 0.0304 | 0.0496 |
| Combined | GMV-LO | $-0.40$ | 0.0477 | 0.0804 |
| Combined | GMV-LW | $-0.56$ | 0.0238 | 0.0322 |
| Combined | MV-LO | $+0.05$ | 0.8175 | 0.8180 |

- No rule beats 1/N significantly in any universe
- Without a multiple-testing adjustment, at 5%
  - three rules have a significantly lower Sharpe than 1/N by the HAC test (combined GMV, GMV-LO, GMV-LW)
  - three by the bootstrap (multi-asset HRP; combined GMV, GMV-LW)
- The GMV rules have low risk, but even lower return
- The table shows 6 of the 18 two-sided tests, $H_0$: $\Delta_k = 0$
  - 6 rules $\times$ 3 universes; all 18 in the Appendix

## Many Rules, Many Tests (2/2)

- Holm over all 18: smallest adjusted $p$ is 0.43 (HAC, $18 \times 0.024$) and 0.58 (bootstrap, $18 \times 0.032$)
  - nothing survives (next slide; Chapter 3)
- A different question, the best of the 21 configurations (7 rules $\times$ 3 universes)
  - the deflated Sharpe ratio (DSR) of Bailey & López de Prado (2014), on the common calendar May 2012 – July 2026, gives $0.94 < 0.95$ for MV-LO on sectors
  - but the verdict hinges on the effective number of trials (▸ Appendix)
  - the DSR uses the winner's kurtosis, so it requires a finite fourth moment, which Chapter 1 questions
- What the result supports: comparison of procedures
  - the rules are evaluated on the same months and assets, in these samples

## Holm and Benjamini–Hochberg on This Chapter's Tests

- **FWER** (family-wise error rate): the probability of at least one false rejection in the family
- **FDR** (false discovery rate): the expected share of false rejections among the rejections
- Sort the $m$ $p$-values, $p_{(1)} \leq \cdots \leq p_{(m)}$
  - **Holm** (controls the FWER under any dependence): $\tilde{p}_{(i)} = \max_{j \leq i} \min\{1, (m - j + 1)\, p_{(j)}\}$
  - **Benjamini–Hochberg** (Benjamini & Hochberg (1995)): $\tilde{p}_{(i)} = \min_{j \geq i} \min\{1, \frac{m}{j}\, p_{(j)}\}$
  - BH controls the FDR for valid p-values under independence or under PRDS (positive dependence, Benjamini & Yekutieli (2001)); positive correlations between strategies do not by themselves establish PRDS
  - under arbitrary dependence: Holm (the main result) or Benjamini–Yekutieli
  - reject where $\tilde{p} < 0.05$ (Holm) or $\tilde{p} <$ the chosen FDR (BH)
- The four smallest two-sided HAC $p$-values, $m = 18$

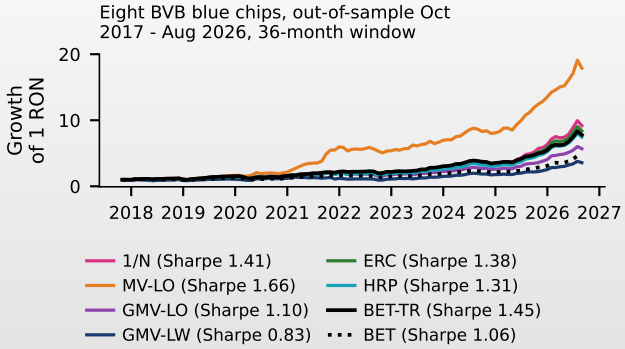
| **Test** | $p_{(j)}$ | **Holm** | $\frac{18}{j}\, p_{(j)}$ |
|---|---|---|---|
| Combined, GMV-LW | 0.0238 | $18 \times 0.0238 = 0.428$ | 0.428 |
| Combined, GMV | 0.0304 | $17 \times 0.0304 = 0.516$ | 0.273 |
| Combined, GMV-LO | 0.0477 | $16 \times 0.0477 = 0.763$ | 0.286 |
| Multi-asset, HRP | 0.0720 | $\min\{1, 15 \times 0.0720\} = 1.00$ | 0.324 |

- BH takes the minimum from the bottom up: the first two both become 0.273
  - no rejection at an FDR of 10%

## Setup: a Romanian Investor

- The question of this section: does an allocation rule beat the BET-TR index on BVB blue chips
  - for an investor in RON?
- Eight blue chips with complete histories since October 2014: TLV, SNP, BRD, TGN, SNG, SNN, EL, TEL
- A 36-month window, not 60: with 60 months only 83 months would remain out of sample
  - first portfolio October 2017
- Rules: 1/N, MV-LO, GMV-LO, GMV-LW, ERC, HRP
  - no unconstrained MV and GMV, whose weights would be extreme on 36-month windows
- Benchmark: BET-TR (total return, with dividends)
  - BET is shown only to measure the dividend effect
- Sharpe ratios with $R_f = 0$ (no RON money-market series in the data)
  - hence higher than excess-return Sharpe ratios
- Earlier Romanian evidence on diversification: Dragotă, Șerbănescu & Pele (2008)

# BVB Portfolios versus BET-TR (1/2)




- Chart: the value of RON 1 invested in October 2017
  - out of sample to August 2026 (107 months), before costs
- BET-TR: mean 24.7% a year, volatility 17.0%, Sharpe 1.45
- BET (no dividends): mean 17.8%, Sharpe 1.06
- Close to BET-TR: 1/N 1.41, ERC 1.38, HRP 1.31

MFM_ch4_bvb ▶ Interactive

## BVB Portfolios versus BET-TR (2/2)

- MV-LO: Sharpe 1.66, $+0.21$ over BET-TR
  - HAC $p = 0.44$, bootstrap 0.53
- GMV-LW: Sharpe 0.83, $-0.63$ below BET-TR
  - HAC $p = 0.050$, bootstrap 0.10
  - these $p$-values require a finite fourth moment, which Chapter 1 questions
- Average correlation of the eight stocks 0.44 limits diversification
  - the latest GMV-LO puts 70% in TLV (Seminar 4, C2)
- What the result supports: comparison of procedures

MFM_ch4_bvb

# Which Frontier Can a Large Investor Reach? (1/2)

- The question: which allocation rule stays efficient when trading costs grow with the size of the investor?
- Jensen, Kelly, Malamud & Pedersen (2026), *Review of Financial Studies*
  - how should portfolios be built from machine-learning (ML) return forecasts when every trade moves prices?
- **Implementable efficient frontier** (eq. 12)
  - for each volatility $\sigma$, the highest expected return **net of trading costs**

$$k(\sigma) = \max_{\pi} \; E[r_{t+1}^{\text{net}}] \quad \text{s.t.} \quad E[\pi_t^\top \boldsymbol{\Sigma} \pi_t] = \sigma^2$$

  - $\pi_t$: vector of risky-asset weights at $t$ (the paper's notation; not the implied returns $\boldsymbol{\pi}$ of Black–Litterman); $r_{t+1}^{\text{net}}$: portfolio return after trading costs
  - $k(\sigma)$: the best net expected return at volatility $\sigma$
- Proposition 1: the net Sharpe ratio $k(\sigma)/\sigma$ falls along the frontier
  - a larger investor faces a lower frontier

# Which Frontier Can a Large Investor Reach? (2/2)

- Cost as a fraction of wealth $W_t$ (eqs. 4, 7), quadratic in the trade

$$c_t = \tfrac{W_t}{2}(\pi_t - g_t\pi_{t-\mathbf{1}})^\top \mathbf{\Lambda}(\pi_t - g_t\pi_{t-\mathbf{1}}), \qquad \mathbf{\Lambda} = \mathrm{diag}(0.2/V_i)$$

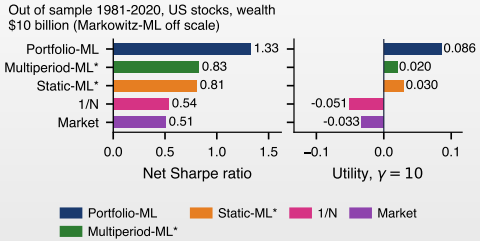
  - $g_t$: drifts last month's weights; $V_i$: the average daily dollar volume of asset $i$

- Optimal rule: trade only part of the way towards an **aim portfolio** $A_t$ (Gârleanu & Pedersen (2013))

$$\pi_t = m\, g_t\pi_{t-\mathbf{1}} + (\mathbf{I} - m)A_t$$

  - $A_t$: a forward-looking aim, a weighted average of today's and expected future Markowitz portfolios
  - the weighting reflects the persistence of the signals and the frictions; $A_t$ is in general not the current Markowitz portfolio
  - $m$: an $N \times N$ matrix of trade rates (eq. 14), so $\mathbf{I} - m$ is a matrix too; in the scalar special case of Gârleanu & Pedersen (2013), $m$ is the share of the old position kept each period
  - Portfolio-ML learns $A_t$ from the signals by a ridge regression (least squares with a penalty on the size of the coefficients) whose objective is utility net of costs

# The Paper's Results: Net Sharpe and Utility




- Jensen, Kelly, Malamud & Pedersen (2026), Table 2: net of costs, 1981–2020, $\gamma = 10$
  - utility (eq. 11) = annual net return $-\frac{\gamma}{2}\times$ annual variance
- Markowitz-ML (mean–variance on ML forecasts, no costs)
  - gross Sharpe 2.06, turnover 79.36, leverage 74.61: net return extremely negative
- Portfolio-ML: net Sharpe 1.33, utility 0.086 (net return 15%, volatility 11%, cost 0.6% a year)
- Multiperiod-ML* (12 horizons): net Sharpe 0.83, utility 0.020
- Static-ML* (one-period costs; * = extra tuning layer) 0.81, 0.030
  - 1/N 0.54, −0.051; market 0.51, −0.033
  - only cost-aware rules have positive utility
- What the result supports: comparison of procedures
  - stated limit: on the smallest 20% of stocks, Portfolio-ML trails Multiperiod-ML* and Static-ML*

MFM_ch4_implementable_frontier



▸ Appendix: the course replication

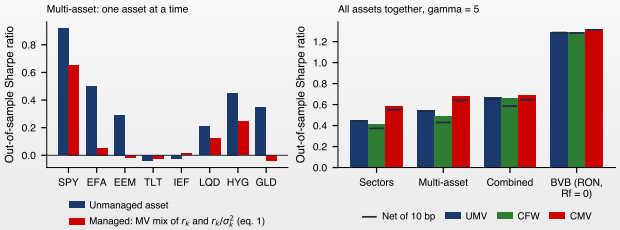
# Volatility-Managed Portfolios: The Question

- The question: does the Sharpe ratio rise if the investor cuts exposure when volatility is high?
  - yes, if measured volatility predicts next month's risk and expected returns do not rise in proportion to variance
- Moreira & Muir (2017): the volatility-managed factor $k$ (eq. 1 in DeMiguel, Martín-Utrera & Uppal (2024))

$$r^{\sigma}_{k,t+1} = \frac{c}{\sigma^{2}_{k,t}}\, r_{k,t+1}$$

  - $r_{k,t+1}$: the excess return of factor $k$ in month $t+1$
  - $\sigma^{2}_{k,t}$: the variance of the daily returns of factor $k$ in month $t$
  - $c$: the constant that gives $r^{\sigma}_{k}$ the same volatility as $r_k$
  - the investor holds the mean–variance combination of $r_k$ and $r^{\sigma}_{k}$
- Cederburg, O'Doherty, Wang & Yan (2020): out of sample, managed versions do not systematically beat the unmanaged strategies; estimation error in the combination weights matters
- Barroso & Detzel (2021): after trading costs, the gain is not robust for most of the factors studied
- DeMiguel, Martín-Utrera & Uppal (2024), *Journal of Finance*: the same question for a portfolio of many factors
  - the paper's claim: the conditional mean–variance multifactor portfolio (CMV) beats its unconditional counterpart (UMV) out of sample and net of costs
  - Table II, nine factors, 1977–2020: net Sharpe 1.062 (CMV) against 0.940 (UMV), $p = 0.006$

# Volatility Management on the Course Data




- Left: the out-of-sample Sharpe ratio of each multi-asset ETF, May 2012 – July 2026
  - blue: the asset unchanged; red: the estimated mean–variance combination of $r_k$ and $r_k/\sigma_k^2$ (eq. 1)
- Right: the out-of-sample Sharpe ratio of the UMV, CFW and CMV portfolios in the four universes; dash: net of 10 bp
- One asset at a time: volatility management lowers the Sharpe ratio of 22 of the 25 assets (sectors, multi-asset, BVB)
  - EFA: from 0.50 to 0.05; gold (GLD): from 0.35 to $-0.04$
  - seven falls have $p < 0.05$ in individual, unadjusted HAC tests
  - none after Holm over the family of 25 comparisons: the smallest adjusted p-value is 0.16
- All assets together: CMV has the highest gross Sharpe ratio in every universe
  - sectors 0.59 against 0.45 (UMV); multi-asset 0.69 against 0.55
  - combined 0.69 against 0.67; BVB 1.32 against 1.29
- CFW, which scales the whole UMV portfolio as in Moreira & Muir (2017), stays below UMV in all four universes

MFM_ch4_vol_managed ▶ Interactive

## The Paper's Method and the Course Replication

- CMV (eqs. 2–6): the weight of factor $k$, set at the end of month $t$ and applied to the return $r_{k,t+\mathbf{1}}$, is $\theta_{k,t} = a_k + b_k/\sigma_t$
  - $\sigma_t$: the realised volatility of the market in month $t$, from daily returns
  - $b_k > 0$: less exposure to factor $k$ when the market is volatile
  - $a_k, b_k \geq 0$ maximise $\boldsymbol{\mu}^\top \eta - \widehat{TC}(\eta) - \frac{\gamma}{\mathbf{2}}\, \eta^\top \boldsymbol{\Sigma}\, \eta$, with $\gamma = 5$
  - $\eta = (a, b)$; $\boldsymbol{\mu}$, $\boldsymbol{\Sigma}$: mean and covariance of the extended returns $(r_{k,t+\mathbf{1}},\ r_{k,t+\mathbf{1}}/\sigma_t)$; $\widehat{TC}$: the mean trading cost
- UMV: the same problem with $b_k = 0$
- CFW: the mean–variance combination of UMV and UMV divided by its variance last month (Moreira & Muir (2017))
- The paper: the cost of each stock from its monthly estimated spread; trades net out across factors (trading diversification)
- The paper: expanding window, the first one 120 months long
- The course replication: the "factors" are the excess returns of the ETFs (positions financed at the T-bill rate)
  - BVB: returns in RON, with $R_f = 0$, as in the rest of the chapter
  - the market: SPY for the US universes, BET-TR for BVB
  - expanding window, first 60 months (BVB: 36): the out-of-sample periods of the chapter's backtest
  - weights optimised without costs, as in Table III, columns 1–3
  - cost: $c = 10$ bp per unit of turnover, with turnover computed per ETF (trades net out)
  - the chapter's liquidation rule: no rule loses 100% in a month, so no rule is liquidated
- Tests: the paper's one-sided stationary bootstrap (mean block 5, 10,000 draws) and the chapter's two-sided HAC test

## The Result: A Small, Insignificant Gain

- Gross Sharpe difference CMV − UMV (one-sided bootstrap $p$; two-sided HAC $p$)
  - sectors, 271 months: 0.14 (0.13; 0.26)
  - multi-asset, 171 months: 0.13 (0.25; 0.46)
  - combined, 171 months: 0.02 (0.46; 0.92)
  - BVB, 107 months: 0.03 (0.30; 0.55)
- CMV trades more: monthly turnover 1.08 against 0.21 (multi-asset)
- CMV uses more leverage: mean sum of absolute weights 4.8 against 3.3 (multi-asset)
- The cost per unit of turnover at which the CMV advantage disappears
  - sectors 45 bp, multi-asset 42 bp, BVB 49 bp, combined 7 bp
  - at 10 bp, CMV falls below UMV in the combined universe: net Sharpe 0.646 against 0.655
- What the result supports: comparison of procedures
  - the paper's direction appears in all four universes: CMV above UMV, the managed combination of a single asset below the unchanged asset
  - the conclusion concerns this implementation (ETFs, expanding window, $\gamma = 5$); it does not show that volatility management fails in general
  - none of the four CMV − UMV differences is significant at 10%

## Limits of the Replication

- 8–16 ETFs and 107–271 months, against nine long-short factors over 528 months
- The p-values require a finite fourth moment, which Chapter 1 questions
- BVB: leverage is financed at $R_f = 0$, so the mean is overstated
- US: leverage (mean exposure 3.3–4.8, multi-asset) is financed at the T-bill rate; a borrowing spread would lower the mean more than a few bp of trading costs
- The cost of setting up the initial positions is not included
- In the paper, without netting trades across factors, CMV loses: net Sharpe 0.613 against 0.710 (Table III, Panel C, columns 1–3, optimised without costs)

## Open Questions

- Questions
  - does any **estimated** allocation rule beat 1/N out of sample, net of costs?
  - does it still beat 1/N once every rule, window and universe tried is counted?
- Live evidence points both ways
  - Nonlinear shrinkage of $\Sigma$ improves GMV out of sample in large cross-sections: Ledoit & Wolf (2017)
  - Combining tangency, GMV and 1/N under estimation risk: Kan, Wang & Zhou (2022)
  - Backtests need haircuts for the number of specifications tried: Harvey & Liu (2015)
- Formal statement: $H_0$: $\Delta_k \leq 0$ for all 18 (rule, universe) pairs
  - against $H_1$: $\Delta_k > 0$ for at least one $k$
  - with the FWER or FDR fixed for the whole family (Many Rules, Many Tests)
- One pass of the loop with an AI assistant
  - literature with DOIs, competing hypotheses, code on the course's monthly data
  - a pre-registered family of tests, a referee-style critique (prompts in the Appendix)
- Falsified by: a positive $\hat{\Delta}_k$ that survives a family-wise correction, costs and a second sample

## What the Researcher Must Check

- **Look-ahead**: weights at $t$ built with month-$t$ returns
  - test: assert that the last estimation date is before $t$
- **Survivorship and selection**: an ETF list chosen today
  - test: use the universe available at each date, including later delisted ETFs, or disclose the limitation
- **Multiple testing**: 6 rules $\times$ 3 universes already give 18 tests
  - test: Holm (FWER) or Benjamini–Hochberg (FDR) adjusted $p$-values
- **Power**: for MV-LO minus 1/N on the multi-asset universe, $\hat{\Delta}$ has a HAC standard error of 0.18 on 171 months
  - test: compute the detectable effect before running
- **Return type**: portfolios aggregate **simple** returns, Sharpe ratios use **excess** returns
  - test: recompute one month step by step
- **Invented references**: an unresolvable DOI or a title mismatch
  - the claim is dropped and the error goes into `AI_ERRORS.md`

# Mini-Case: Data Snooping in This Chapter's Backtest (1/2)

- A typical assistant proposal: "MV-LO beats 1/N on the multi-asset universe"
  - superiority is one-sided: $H_0$: $\Delta \leq 0$, $p = 1 - \Phi(\hat{\Delta}/\mathrm{SE})$
  - $\Phi$ the standard Normal distribution function, SE the standard error
- Replicate: $\hat{\Delta} = +0.29$, HAC standard error 0.18, one-sided $p = 0.06$
  - two-sided HAC 0.12, bootstrap 0.16
  - $z = 0.2863/0.1836 = 1.56$, $p = 1 - \Phi(1.56) = 0.06$
- Power 0.8 for $\Delta = 0.29$, one-sided: about 435 months (36 years) at 5%
  - 919 months (77 years) at the Holm level 5%/18
  - months needed: $T_{\mathrm{obs}}\left[(z_{1-\alpha} + z_{0.8})\,\mathrm{SE}/\Delta\right]^2 = 171\,\left[(1.645 + 0.842) \times 0.1836/0.2863\right]^2 \approx 435$
  - at $\alpha = 0.05/18$, $z_{1-\alpha} = 2.77$, which gives $\approx 919$

MFM_ch4_ai_discovery

# Mini-Case: Data Snooping in This Chapter's Backtest (2/2)

- Test the family, not the winner: 18 tests (6 rules $\times$ 3 universes)
  - one-sided $p$-values of all 18 in the Appendix
  - Only 7 of 18 differences are positive; the 3 two-sided HAC $p$-values below 0.05 are all **losses**, which never reject a superiority null
  - One-sided: smallest $p = 0.046$ (sectors, ERC); adjusted Holm 0.82, Benjamini–Hochberg 0.53; 0 discoveries at an FDR of 10%
- Why 0.82 here but 0.43 on Many Rules, Many Tests
  - a loss has a large one-sided $p$ (about $1 - p_{\text{two-sided}}/2$, e.g. 0.99 for combined GMV-LW)
  - so the significant losses drop out
  - the smallest one-sided $p$ belongs to a gain, 0.046, and Holm multiplies it by 18
- Interpretation: the data cannot rank these rules
  - the bootstrap interval for MV-LO, $[-0.13, 0.70]$, admits losses and large gains
  - failure to reject is not proof of equality
- What the result supports: comparison of procedures

MFM_ch4_ai_discovery

# Your Turn: A Research Project Idea

- **Questions**
  - does nonlinear shrinkage (Ledoit & Wolf (2017)) beat 1/N on the 16 ETFs of this chapter, after 10–50 bp costs?
  - does a three-fund combination (Kan, Wang & Zhou (2022)) beat 1/N on the same ETFs, after the same costs?
- **Replicate first**
  - the combined-universe results (1/N Sharpe 0.76, MV-LO 0.81)
  - the adjusted $p$-values of the mini-case
- **Pre-register**, before any result
  - hypotheses, family of tests, error rate and power
  - a placebo: random long-only weights with the same turnover
- **Report**: code on the course's monthly data, a table of all specifications, a referee-style self-critique
- **Log**: prompts in `AI_USE.md`
  - every error caught and the test that caught it in `AI_ERRORS.md`

# The Practical Decision

- **What I choose**
  - 1/N as the default: it estimates nothing, has a monthly turnover of 0.02 and is hard to beat after costs
  - ERC if I want risk balanced across assets: a moderate tilt of 1/N with turnover 0.03 (HRP trades more)
  - GMV or GMV-LW only if the goal is minimum risk: the lowest volatility, but a Sharpe ratio below 1/N on 16 ETFs (0.20 versus 0.76)
  - not unconstrained MV: its wealth reaches zero in all three universes
- **Under which conditions**
  - 60-month windows and 8–16 assets: estimation error dominates (in simulation, MV beats 1/N only at 480 months)
  - costs above about 22 bp: MV-LO, the best point estimate, no longer beats 1/N on 16 ETFs
  - Black–Litterman only with views whose confidence $\boldsymbol{\Omega}$ is set cautiously: it moves only the assets in the views
  - these verdicts are specific to these samples (sectors 2004–2026, multi-asset and combined 2012–2026)
- **What result would make me drop it**
  - an estimated rule with $\hat{\Delta} > 0$ against 1/N, significant after Holm or Benjamini–Hochberg over the whole family of tests
  - a gain that survives net of costs and on a second sample

## Quick Checks with Toy Numbers (1/2)

- **Three rules, two assets**: $\sigma_1 = 30\%$, $\sigma_2 = 15\%$, $\rho = 0.2$
  - compute the weights and volatilities of GMV, ERC and 1/N; check $\sigma_{\text{GMV}} \leq \sigma_{\text{ERC}} \leq \sigma_{1/N}$
  - what share of the 1/N variance comes from asset 1? (Two Assets; Risk Contributions; Equal Risk Contribution)
- **Optimism of the plug-in Sharpe**: $N = 4$ assets, $T = 120$ months, true $\theta = 0.50$ a year
  - what in-sample maximum Sharpe (root mean square, annual) should you expect? (The Plug-in Sharpe Ratio Is Biased)
- **Noise band**: $N = 10$, $T = 40$, correlation matrix
  - compute the Marchenko–Pastur band; is a sample eigenvalue of 2.0 evidence of structure? (Why the Sample Covariance Matrix Fails)

## Quick Checks with Toy Numbers (2/2)

- **One view, one asset**: $\pi = 4\%$, $\tau\sigma^2 = 0.0009$, view 10%
  - posterior mean and view weight for $\Omega = 0.0009$ and for $\Omega = 0.0003$ (Views and the Posterior)
- **One Sharpe ratio**: monthly $\widehat{SR} = 0.15$, $T = 120$, i.i.d. returns from the Normal distribution
  - annual Sharpe and its 95% interval: is it significantly positive? (Inference on One Sharpe Ratio)
- **Four tests**: $p = 0.004,\ 0.020,\ 0.030,\ 0.300$
  - Holm and Benjamini–Hochberg adjusted $p$-values; how many rejections at 5% under each? (Holm and Benjamini–Hochberg)
- Answers: Appendix

# Check Yourself, and Next

## Retrieval questions

- Why does the in-sample tangency Sharpe overstate the achievable one?
  - plug-in Sharpe; Seminar 4, A8
- By how much does it overstate it for $N = 9$, $T = 60$?
- Why does a long-only constraint act like shrinkage?
  - Jagannathan–Ma and its two-asset example
- Why can a small Sharpe difference between ERC and 1/N be nearly significant while a larger one between GMV and 1/N is not?
  - sectors; HAC test: compare the standard errors 0.023 and 0.159 in the Appendix table

## Links to other chapters

- **Chapter 3**: the tangency portfolio and the CAPM
  - factor covariance models
- **Chapters 5–6**: time-varying volatility and correlation for dynamic weights
- **Chapter 7**: portfolio Value-at-Risk and Expected Shortfall
- **Chapter 13**: machine learning for returns and portfolios
  - backtest overfitting

## The Assets in Detail

- **Sectors** (9 US sector ETFs)
  - XLB materials, XLE energy, XLF financials, XLI industrials, XLK technology
  - XLP staples, XLU utilities, XLV health care, XLY discretionary
- **Multi-asset**
  - equities: SPY (S&P 500), EFA (developed markets outside the US and Canada), EEM (emerging markets)
  - bonds: TLT (US Treasuries, 20+ years), IEF (US Treasuries, 7–10 years), LQD (investment grade), HYG (high yield); gold: GLD
- **BVB** (8 blue chips)
  - TLV Banca Transilvania, SNP OMV Petrom, BRD BRD–Groupe Société Générale, TGN Transgaz
  - SNG Romgaz, SNN Nuclearelectrica, EL Electrica, TEL Transelectrica

## Nonlinear Shrinkage

- Linear shrinkage mixes two matrices with one $\delta$
  - **nonlinear** shrinkage keeps the sample eigenvectors and corrects each eigenvalue separately
  - $\hat{\Sigma}_{\mathrm{NL}} = \mathrm{U}\,\mathrm{diag}(\tilde{d}_1, \ldots, \tilde{d}_N)\mathrm{U}^\top$, U: the eigenvectors of S, $\tilde{d}_i$: the corrected eigenvalues
  - Ledoit & Wolf (2017): tuned for portfolio selection; Ledoit & Wolf (2020): an analytical formula, no optimisation
- Out of sample, 60-month window, GMV volatility
  - Sectors: sample 11.90%, linear (constant correlation) 11.80%, nonlinear 11.62%
  - 16 ETFs: sample 4.06%, linear 4.38%, nonlinear 4.31%
- A constant correlation fits neither stock–stock (positive) nor stock–bond (negative) pairs
  - the target matters (Seminar 4, B7)
- No estimator dominates
  - nonlinear wins on sectors, the sample matrix on 16 ETFs
  - the choice is made out of sample
- At $N = 16$, $T = 60$ the sample matrix is still competitive
  - it becomes unusable as $N$ approaches $T$

## Black–Litterman: Limiting Cases

- $\boldsymbol{\Omega} \to 0$: the views hold exactly, $\mathrm{P}\boldsymbol{\mu}_{\mathrm{BL}} = \mathrm{q}$
- $\boldsymbol{\Omega} \to \infty$: the views are ignored, $\boldsymbol{\mu}_{\mathrm{BL}} = \boldsymbol{\pi}$
- Without views, the benchmark $\mathrm{w}_b$ itself
- With the same $\boldsymbol{\Sigma}$ in the weights, only the assets in the views move
- The same estimator is a mixed regression estimated by generalised least squares (GLS) (Theil & Goldberger (1961))
  - derivation: Appendix; Seminar 4, A6

# Black–Litterman: What $\delta_{\mathrm{RA}}$ and $\tau$ Do

- The values of He & Litterman (2002): $\delta_{\mathrm{RA}} = 2.5$, $\tau = 0.05$, $\boldsymbol{\Omega} = \mathrm{diag}(\mathrm{P}\,\tau\boldsymbol{\Sigma}\,\mathrm{P}^{\top})$
- **Risk aversion**: premultiply $\boldsymbol{\pi} = \delta_{\mathrm{RA}}\boldsymbol{\Sigma}\mathrm{w}_b$ by $\mathrm{w}_b^{\top}$

$$\delta_{\mathrm{RA}} = \frac{\mathrm{w}_b^{\top}\boldsymbol{\pi}}{\mathrm{w}_b^{\top}\boldsymbol{\Sigma}\mathrm{w}_b} = \frac{\text{benchmark excess return}}{\text{benchmark variance}}$$

  - e.g. 6% excess return at 15.5% volatility: $0.06/0.155^2 = 2.5$
  - $\boldsymbol{\pi}$ is linear in $\delta_{\mathrm{RA}}$: doubling it doubles the implied XLK minus XLU spread of 2.2%
- **Prior uncertainty**: $\tau\boldsymbol{\Sigma}$ is the uncertainty about the mean
  - one reading is $\tau \approx 1/Y$, the variance of a mean estimated over $Y$ years relative to $\boldsymbol{\Sigma}$ (Merton's argument)
  - so $\tau = 0.05$ is about 20 years of data
- With this $\boldsymbol{\Omega}$ and one view, $\tau$ cancels
  - the posterior spread is the midpoint $(2.2\% + 3\%)/2 = 2.6\%$
  - the weights do not depend on $\tau$
- The confidence in the view is set by $\boldsymbol{\Omega}$ relative to $\tau\boldsymbol{\Sigma}$, not by $\tau$ alone

## The HAC Test Step by Step

- Gradient of $f$ with respect to $\mathrm{v} = (\mu_1, \mu_2, \mathbb{E}[r_1^2], \mathbb{E}[r_2^2])$
  - writing $\sigma_i^2 = \mathbb{E}[r_i^2] - \mu_i^2$

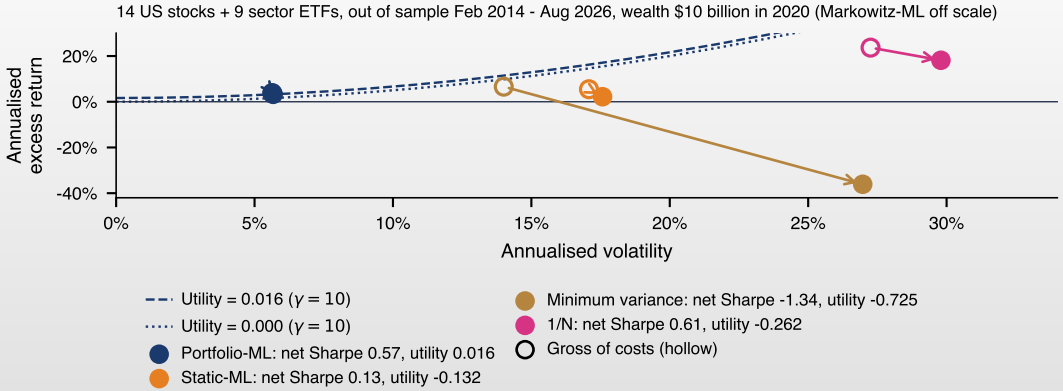
$$\nabla f = \Big( \frac{\mathbb{E}[r_1^2]}{\sigma_1^3},\ -\frac{\mathbb{E}[r_2^2]}{\sigma_2^3},\ -\frac{\mu_1}{2\sigma_1^3},\ \frac{\mu_2}{2\sigma_2^3} \Big)$$

  - these are derivatives in the **uncentred** second moments; a gradient in $(\mu_i, \sigma_i^2)$ does not fit this $\hat{\Psi}$
- $\hat{\Psi}$: long-run covariance of $\mathrm{y}_t = (r_{1t} - \hat{\mu}_1,\ r_{2t} - \hat{\mu}_2,\ r_{1t}^2 - \widehat{\mathbb{E}r_1^2},\ r_{2t}^2 - \widehat{\mathbb{E}r_2^2})$
- HAC $p$-values in this chapter's tables: Bartlett (Newey–West) kernel
  - $\lfloor 4(T/100)^{2/9} \rfloor = 4$ lags for every $T$ from 107 to 271
  - $z = \hat{\Delta}/\mathrm{SE}$, $p = 2[1 - \Phi(|z|)]$
- The bootstrap studentizes with a different SE (prewhitened quadratic-spectral kernel, Appendix)
  - so the two statistics differ slightly
  - sectors, MV-LO minus 1/N: $\hat{\Delta} = 0.063$; Bartlett SE 0.120, $z = 0.53$, HAC $p = 0.60$; quadratic-spectral (QS) SE 0.127, studentized statistic 0.50

# Paper and Course Application: What Is Compared?

| | **Paper** | **Course replication** |
|---|---|---|
| Assets | US stocks with market capitalisation above the NYSE (New York Stock Exchange) median (184–805) | 14 US stocks + 9 sector ETFs |
| Signals | 115 characteristics (Jensen, Kelly & Pedersen (2023)) | 5 price and volume signals |
| Out of sample | 1981–2020, monthly | February 2014 – August 2026 (151 months) |
| Investor | $\gamma = 10$, wealth \$10 billion at the end of 2020, growing with the market | same; wealth scaled by the cumulative SPY return before and after 2020 |
| Utility | annual net return $-\frac{\gamma}{2}\times$ annual variance | same: $12\times$ monthly mean $-\frac{\gamma}{2}\times 12\times$ monthly variance |

# Gross and Net of Costs on the Course Data (1/2)




MFM_ch4_implementable_frontier

# Gross and Net of Costs on the Course Data (2/2)

- Axes: annualised volatility (horizontal) and annualised excess return (vertical)
  - hollow marker: before costs
  - filled: after the cost $c_t$ (eq. 35 of the paper)
- Dashed curve: the utility of Portfolio-ML (0.016)
  - dotted curve: utility 0
- Portfolio-ML: return 3.8% gross and 3.2% net, volatility 5.7%, net Sharpe 0.57
- Utility of Portfolio-ML: $0.0324 - \frac{10}{2} \times 0.0567^2 = 0.016$ (net mean and net volatility, annual)
- 1/N: 18.1% net and Sharpe 0.61, but its 29.8% volatility gives a utility of $-0.26$
- Minimum variance: $+6.6\%$ gross, $-36.1\%$ net
  - its leverage of 2.6 costs 43% a year
- Limits: 23 assets, 5 signals, no factor model for $\Sigma$ (Seminar 4, C3)

MFM_ch4_implementable_frontier

## The Frontier in Closed Form, Step by Step

- Two constraints, two multipliers: $\mathcal{L} = \frac{1}{2}\mathrm{w}^\top \boldsymbol{\Sigma}\mathrm{w} - \lambda_1(\mathrm{w}^\top \boldsymbol{\mu} - m) - \lambda_2(\mathrm{w}^\top 1 - 1)$
- First-order condition: $\boldsymbol{\Sigma}\mathrm{w} = \lambda_1\boldsymbol{\mu} + \lambda_2 1$, so $\mathrm{w} = \lambda_1\boldsymbol{\Sigma}^{-1}\boldsymbol{\mu} + \lambda_2\boldsymbol{\Sigma}^{-1}1$
- The constraints, with $A = 1^\top\boldsymbol{\Sigma}^{-1}1$, $B = 1^\top\boldsymbol{\Sigma}^{-1}\boldsymbol{\mu}$, $C = \boldsymbol{\mu}^\top\boldsymbol{\Sigma}^{-1}\boldsymbol{\mu}$, $D = AC - B^2$

$$\boldsymbol{\mu}^\top \mathrm{w} = \lambda_1 C + \lambda_2 B = m, \qquad 1^\top \mathrm{w} = \lambda_1 B + \lambda_2 A = 1$$

- Solving the $2 \times 2$ system: $\lambda_1 = (Am - B)/D$, $\lambda_2 = (C - Bm)/D$
- Variance: $\mathrm{w}^\top\boldsymbol{\Sigma}\mathrm{w} = \mathrm{w}^\top(\lambda_1\boldsymbol{\mu} + \lambda_2 1) = \lambda_1 m + \lambda_2 = \dfrac{Am^2 - 2Bm + C}{D}$
- Check: at $m = B/A$ the variance is $(C - B^2/A)/D = 1/A$, the GMV
- Shapes: $\sigma^2$ is quadratic in $m$ (a parabola in the $(\sigma^2, m)$ plane)
  - $\sigma^2 - A(m - B/A)^2/D = 1/A$ is a hyperbola in the $(\sigma, m)$ plane

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## Wishart Moments and the Distribution of Weights

- i.i.d. $N(\boldsymbol{\mu}, \boldsymbol{\Sigma})$ returns, maximum-likelihood estimators
  - $\hat{\boldsymbol{\mu}} \sim N(\boldsymbol{\mu}, \boldsymbol{\Sigma}/T)$, $T\hat{\boldsymbol{\Sigma}} \sim W_N(T-1, \boldsymbol{\Sigma})$, independent
  - Wishart: the matrix analogue of $\chi^2$, $T-1$ degrees of freedom
- Inverse Wishart moment, finite for $T > N+2$: $\mathbb{E}[\hat{\boldsymbol{\Sigma}}^{-1}] = \frac{T}{T-N-2}\boldsymbol{\Sigma}^{-1}$
  - an **upward** bias that grows with $N/T$
- Conditioning on $\hat{\boldsymbol{\mu}}$ and using $\mathbb{E}[\mathrm{x}^\top \mathrm{K} \mathrm{x}] = \mathrm{tr}(\mathrm{K}\,\mathrm{Var}(\mathrm{x})) + \mathbb{E}[\mathrm{x}]^\top \mathrm{K}\,\mathbb{E}[\mathrm{x}]$
  - any random vector x, fixed matrix K, tr: trace
  - gives $\mathbb{E}[\hat{\theta}^2]$ of the lecture (Seminar 4, A8)
- GMV weights with Wishart $\hat{\boldsymbol{\Sigma}}$ and $T$ large enough relative to $N$
  - $\hat{\mathrm{w}}_{\mathrm{GMV}}$ is unbiased and its exact distribution and covariance are known (Okhrin & Schmid (2006))
- Tangency weights divide by $1^\top \hat{\boldsymbol{\Sigma}}^{-1}\hat{\boldsymbol{\mu}}$, which can be near zero: very heavy tails
- Estimation-risk-optimal mixtures of tangency, GMV and 1/N: Kan & Zhou (2007), Kan, Wang & Zhou (2022)

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# Tangency Weights by Regression, Britten-Jones (1999) (1/2)

- Britten-Jones (1999): regress the constant 1 on the excess returns, **without** a constant term

$$1 = \mathrm{b}^\top \mathrm{r}_t + u_t, \qquad \hat{\mathrm{b}} = (\mathrm{X}^\top \mathrm{X})^{-1} \mathrm{X}^\top 1_T \propto \hat{\boldsymbol{\Sigma}}^{-1} \hat{\boldsymbol{\mu}}$$

- $\mathrm{r}_t$: vector of excess returns in month $t$
  - X: $T \times N$ matrix with rows $\mathrm{r}_t^\top$
  - $1_T$: vector of $T$ ones; $u_t$: regression error
- Sherman–Morrison on $\mathrm{X}^\top \mathrm{X}/T = \hat{\boldsymbol{\Sigma}} + \hat{\boldsymbol{\mu}} \hat{\boldsymbol{\mu}}^\top$ gives the proportionality (Seminar 4, A9)
  - $\hat{\mathrm{b}}/1^\top \hat{\mathrm{b}}$ = sample tangency weights
- $1^\top \hat{\mathrm{b}}$ has the sign of $1^\top \hat{\boldsymbol{\Sigma}}^{-1} \hat{\boldsymbol{\mu}}$
  - the portfolio is on the efficient branch only if it is positive

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# Tangency Weights by Regression, Britten-Jones (1999) (2/2)

- OLS $t$-test of $b_i = 0$: asset $i$ has zero weight in the tangency portfolio
  - $F$-test of $\mathrm{Rb} = 0$ with $\mathrm{R} = [\mathrm{I}_{N-1}, -1_{N-1}]$: "the tangency portfolio is 1/N"
- Exact finite-sample $t$ and $F$ distributions under i.i.d. Normal returns
  - HAC standard errors otherwise
- Nine sectors, January 1999 – July 2026 ($T = 331$): normalised $\hat{\mathrm{b}}$ reproduces the tangency weights
  - largest $|t| = 1.12$ (financials), HAC 1.19
- $H_0$: tangency = 1/N, eight restrictions: $F(8, 322) = 0.48$, $p = 0.87$
  - HAC Wald $\chi^2_8 = 4.50$, $p = 0.81$
  - not rejecting is not proof of equal weights

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## The Optimal Shrinkage Intensity

- Ledoit–Wolf choose the target weight $\delta$ in $\delta \mathsf{F} + (1-\delta)\mathsf{S}$
  - to minimise the expected squared (Frobenius) distance to the true $\boldsymbol{\Sigma}$

$$\delta^* = \max\left\{0, \min\left\{1, \frac{\hat{\kappa}}{T}\right\}\right\}, \qquad \hat{\kappa} = \frac{\hat{\pi} - \hat{\rho}}{\hat{\gamma}}$$

- $\hat{\pi}$: sum of the asymptotic variances of the entries of S (noise)
- $\hat{\rho}$: their asymptotic covariances with the target entries
- $\hat{\gamma} = \|\mathsf{F} - \mathsf{S}\|^2$: misspecification of the target (not the risk aversion $\gamma$)
- Complete formulas for the constant-correlation target: Ledoit & Wolf (2004b), Appendix
  - code: the shrinkage Quantlet

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## Shrinking the Means and Other Covariance Estimators

- Bayes–Stein (Jorion (1986)): $\hat{\boldsymbol{\mu}}_{\text{BS}} = (1 - \hat{\phi})\,\hat{\boldsymbol{\mu}} + \hat{\phi}\,\hat{\mu}_{\text{GMV}}\mathbf{1}$
  - Empirical-Bayes shrinkage of every mean towards the mean of the GMV portfolio; $\hat{\phi}$ from a Stein argument, larger when $N/T$ is large
- Tu & Zhou (2011): the convex combination of a sophisticated rule and 1/N
  - it minimises the expected out-of-sample loss
- DeMiguel, Garlappi, Nogales & Uppal (2009): norm constraints $\|\mathrm{w}\|_1 \leq \delta$ or $\|\mathrm{w}\|_2 \leq \delta$
  - they nest the long-only GMV, shrinkage GMV and 1/N
  - the bridge to the lasso portfolios of Chapter 13
- Factor structure plus a sparse residual covariance: POET
  - principal orthogonal complement thresholding, Fan, Liao & Mincheva (2013)
  - the link to Chapter 3
- High-dimensional GMV with shrinkage towards a target portfolio: Bodnar, Parolya & Schmid (2018)

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## Black–Litterman as Mixed (GLS) Estimation

- Theil & Goldberger (1961): stack the prior and the views as one regression on $\boldsymbol{\mu}$

$$\begin{pmatrix} \boldsymbol{\pi} \\ \mathrm{q} \end{pmatrix} = \begin{pmatrix} \mathrm{I} \\ \mathrm{P} \end{pmatrix} \boldsymbol{\mu} + \begin{pmatrix} \mathrm{e}_1 \\ \mathrm{e}_2 \end{pmatrix}, \qquad \operatorname{Var} \begin{pmatrix} \mathrm{e}_1 \\ \mathrm{e}_2 \end{pmatrix} = \begin{pmatrix} \tau\boldsymbol{\Sigma} & 0 \\ 0 & \boldsymbol{\Omega} \end{pmatrix}$$

- GLS gives exactly $\boldsymbol{\mu}_{\mathrm{BL}}$
  - with covariance $\mathrm{M} = \left[(\tau\boldsymbol{\Sigma})^{-1} + \mathrm{P}^{\top}\boldsymbol{\Omega}^{-1}\mathrm{P}\right]^{-1}$
- Equivalent form: $\boldsymbol{\mu}_{\mathrm{BL}} = \boldsymbol{\pi} + \tau\boldsymbol{\Sigma}\mathrm{P}^{\top}(\mathrm{P}\tau\boldsymbol{\Sigma}\mathrm{P}^{\top} + \boldsymbol{\Omega})^{-1}(\mathrm{q} - \mathrm{P}\boldsymbol{\pi})$
- $\boldsymbol{\Omega} \to 0$: restricted least squares, $\mathrm{P}\boldsymbol{\mu}_{\mathrm{BL}} = \mathrm{q}$
- Predictive covariance $\boldsymbol{\Sigma} + \mathrm{M}$ in the weights would change all weights
  - without views it scales them by $1/(1+\tau)$

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## Other Risk-Based Rules

- **Inverse volatility**: $w_i \propto 1/\sigma_i$
  - equals ERC when all correlations are equal
- **Maximum diversification** (Choueifaty & Coignard (2008)): maximise $\mathrm{w}^\top \boldsymbol{\sigma} / \sqrt{\mathrm{w}^\top \boldsymbol{\Sigma} \mathrm{w}}$
  - the ratio of the average asset volatility to the portfolio volatility
  - $\boldsymbol{\sigma}$: vector of asset volatilities
- **Minimum variance**: GMV, the extreme risk-based rule
- All ignore expected returns: robust to estimation error
  - but optimal only under special assumptions

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# Results, Sector Universe

| Rule | Mean | Volatility | Sharpe | Turnover | Max. drawdown | Sharpe, 50 bp |
|---|---|---|---|---|---|---|
| 1/N | 9.4% | 14.3% | 0.66 | 0.02 | −49% | 0.65 |
| MV | liquidated in March 2009 (wealth reaches zero); not ranked | | | | | |
| MV-LO | 10.7% | 14.7% | 0.72 | 0.23 | −42% | 0.63 |
| GMV | 8.5% | 11.9% | 0.71 | 0.23 | −33% | 0.59 |
| GMV-LO | 8.1% | 11.5% | 0.70 | 0.09 | −34% | 0.65 |
| GMV-LW | 7.6% | 11.8% | 0.65 | 0.14 | −31% | 0.58 |
| ERC | 9.3% | 13.2% | 0.70 | 0.03 | −47% | 0.69 |
| HRP | 8.9% | 12.8% | 0.70 | 0.08 | −45% | 0.66 |

- January 2004 – July 2026
  - turnover: monthly mean
  - drawdown of total-return wealth
- Last column: net of 50 basis points per unit of turnover

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# Results, Multi-Asset Universe (8 ETFs)

| Rule | Mean | Volatility | Sharpe | Turnover | Max. drawdown | Sharpe, 50 bp |
|---|---|---|---|---|---|---|
| 1/N | 4.3% | 8.4% | 0.52 | 0.02 | −21% | 0.50 |
| MV | liquidated in September 2025 (wealth reaches zero); not ranked | | | | | |
| MV-LO | 7.1% | 8.9% | 0.80 | 0.12 | −24% | 0.72 |
| GMV | 1.4% | 3.8% | 0.37 | 0.14 | −11% | 0.16 |
| GMV-LO | 1.7% | 5.4% | 0.32 | 0.05 | −17% | 0.27 |
| GMV-LW | 1.1% | 4.2% | 0.27 | 0.09 | −13% | 0.15 |
| ERC | 3.6% | 7.3% | 0.49 | 0.02 | −21% | 0.47 |
| HRP | 2.4% | 6.6% | 0.36 | 0.04 | −20% | 0.32 |

- May 2012 – July 2026 (171 months)

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# Results, Combined Universe (16 ETFs)

| Rule | Mean | Volatility | Sharpe | Turnover | Max. drawdown | Sharpe, 50 bp |
|---|---|---|---|---|---|---|
| 1/N | 7.9% | 10.3% | 0.76 | 0.02 | −17% | 0.75 |
| MV | liquidated in January 2023 (wealth reaches zero); not ranked | | | | | |
| MV-LO | 8.0% | 9.8% | 0.81 | 0.20 | −26% | 0.69 |
| GMV | 0.8% | 4.1% | 0.20 | 0.24 | −12% | −0.15 |
| GMV-LO | 2.0% | 5.4% | 0.36 | 0.06 | −17% | 0.30 |
| GMV-LW | 0.9% | 4.4% | 0.20 | 0.13 | −14% | 0.03 |
| ERC | 5.5% | 7.8% | 0.71 | 0.03 | −18% | 0.68 |
| HRP | 4.0% | 7.0% | 0.56 | 0.11 | −18% | 0.47 |

- May 2012 – July 2026

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# All 18 Tests against 1/N (1/3), Sectors

| Rule | $\hat{\Delta}$ | HAC SE | $p$ HAC | Holm | $p$ one-sided | $p$ bootstrap | Block |
|---|---|---|---|---|---|---|---|
| MV-LO | +0.06 | 0.120 | 0.60 | 1.00 | 0.299 | 0.63 | 1 |
| GMV | +0.05 | 0.159 | 0.75 | 1.00 | 0.377 | 0.76 | 1 |
| GMV-LO | +0.04 | 0.112 | 0.73 | 1.00 | 0.363 | 0.73 | 1 |
| GMV-LW | −0.02 | 0.166 | 0.93 | 1.00 | 0.537 | 0.94 | 1 |
| ERC | +0.04 | 0.023 | 0.09 | 1.00 | 0.046 | 0.13 | 1 |
| HRP | +0.04 | 0.040 | 0.32 | 1.00 | 0.162 | 0.36 | 1 |

- January 2004 – July 2026, $T = 271$
  - $\hat{\Delta}$: annualised Sharpe of the rule minus that of 1/N, before costs
- HAC: Bartlett, 4 lags, two-sided
  - Holm over all 18 two-sided HAC tests
  - one-sided: $1 - \Phi(\hat{\Delta}/\mathrm{SE})$
  - bootstrap: studentized circular block bootstrap, two-sided, block from Algorithm 3.1

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# All 18 Tests against 1/N (2/3), Multi-Asset

| Rule | $\hat{\Delta}$ | HAC SE | $p$ HAC | Holm | $p$ one-sided | $p$ bootstrap | Block |
|---|---|---|---|---|---|---|---|
| MV-LO | $+0.29$ | 0.184 | 0.12 | 1.00 | 0.059 | 0.16 | 10 |
| GMV | $-0.15$ | 0.226 | 0.51 | 1.00 | 0.745 | 0.54 | 1 |
| GMV-LO | $-0.20$ | 0.137 | 0.14 | 1.00 | 0.930 | 0.15 | 8 |
| GMV-LW | $-0.25$ | 0.191 | 0.19 | 1.00 | 0.903 | 0.20 | 4 |
| ERC | $-0.03$ | 0.060 | 0.61 | 1.00 | 0.694 | 0.58 | 10 |
| HRP | $-0.16$ | 0.089 | 0.07 | 1.00 | 0.964 | 0.05 | 6 |

- May 2012 – July 2026, $T = 171$
  - same columns as for the sectors

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# All 18 Tests against 1/N (3/3), Combined

| Rule | $\hat{\Delta}$ | HAC SE | $p$ HAC | Holm | $p$ one-sided | $p$ bootstrap | Block |
|---|---|---|---|---|---|---|---|
| MV-LO | $+0.05$ | 0.210 | 0.82 | 1.00 | 0.409 | 0.82 | 10 |
| GMV | $-0.56$ | 0.261 | 0.03 | 0.52 | 0.985 | 0.05 | 1 |
| GMV-LO | $-0.40$ | 0.203 | 0.05 | 0.76 | 0.976 | 0.08 | 6 |
| GMV-LW | $-0.56$ | 0.249 | 0.02 | 0.43 | 0.988 | 0.03 | 2 |
| ERC | $-0.06$ | 0.114 | 0.61 | 1.00 | 0.695 | 0.62 | 10 |
| HRP | $-0.20$ | 0.152 | 0.18 | 1.00 | 0.908 | 0.20 | 8 |

- May 2012 – July 2026, $T = 171$
- One-sided family: Holm $18 \times 0.046 = 0.82$
  - Benjamini–Hochberg $\min\{18 \times 0.046,\ \frac{18}{2} \times 0.059\} = 0.53$ for the two smallest

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## Bootstrap Details and the Block Length

- Studentization: $s(\hat{\Delta}^*)$ from the block sums of each resample
  - $s(\hat{\Delta})$ on the data from a prewhitened quadratic-spectral kernel (Andrews & Monahan (1992)) with automatic bandwidth (Andrews (1991))
- Ledoit & Wolf (2008), Algorithm 3.1 (grid and $K$ of Sections 4–5, applied to each of the 18 pairs)
  - choose the block $b$ whose bootstrap interval has actual coverage closest to 95%
  - Fit a first-order vector autoregression to the pair of returns; resample its residuals by a stationary bootstrap (Politis & Romano (1994)), mean block 5
  - Generate $K = 5000$ pseudo-samples of length $T$; in each, build the 95% interval for $b \in \{1, 2, 4, 6, 8, 10\}$
  - $\hat{g}(b)$: share of intervals that contain the pseudo-true $\hat{\Delta}$; pick $\tilde{b} = \arg\min_b |\hat{g}(b) - 0.95|$
- A non-studentized bootstrap with a fixed 6-month block is not this test
  - its block is not calibrated for coverage

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# The Deflated Sharpe Ratio (1/2)

- Bailey & López de Prado (2014): the best of $N$ Sharpe ratios is biased upwards even if every true Sharpe ratio is zero
- Expected maximum under $H_0$: all true Sharpe ratios zero, $N$ independent trials
  - monthly units as $T$
  - on this slide $N$ counts trials (configurations), not assets
  - $\gamma_E = 0.5772$: Euler's constant; $\hat{V}$: the variance of the $N$ estimates
  - $\Phi$: standard Normal distribution function; $e$: Euler's number

$$SR_0 = \sqrt{\hat{V}}\left[(1-\gamma_E)\,\Phi^{-1}\left(1-\tfrac{1}{N}\right) + \gamma_E\,\Phi^{-1}\left(1-\tfrac{1}{Ne}\right)\right]$$

- Deflated Sharpe ratio: the probability that the true Sharpe of the winner exceeds $SR_0$
  - with skewness $\hat{\gamma}_3$ and kurtosis $\hat{\gamma}_4$ of the winner

$$\text{DSR} = \Phi\left(\frac{(\widehat{SR} - SR_0)\sqrt{T-1}}{\sqrt{1-\hat{\gamma}_3\widehat{SR} + \frac{\hat{\gamma}_4-1}{4}\widehat{SR}^2}}\right)$$

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# The Deflated Sharpe Ratio (2/2)

- This chapter: 21 configurations (7 rules $\times$ 3 universes), aligned on the common calendar May 2012 – July 2026 ($T = 171$); winner MV-LO on sectors, 0.92 a year
  - As 21 independent trials: $SR_0 = 0.48$ a year, DSR $= 0.94 < 0.95$
  - The configurations are strongly correlated (up to 0.99), so fewer are independent: $N = 8$ gives DSR 0.98, $N = 3$ gives 0.99
  - the effective $N$ handles the dependence between configurations, not the autocorrelation of returns
  - the DSR is an illustrative approximation: a calibrated probability only under the formula's assumptions
- Holm adjusts the whole family of pairwise tests against 1/N
  - the DSR asks whether the single best configuration is better than luck

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## Beyond Equities, Digital Assets

- Petukhina, Trimborn, Härdle & Elendner (2021): cryptocurrencies in portfolio allocation rules
  - gains depend on the rule and on liquidity
- Pele et al. (2023): are cryptos becoming alternative assets?
- Bitcoin: annualised volatility 172%
  - monthly, 2010–2026, one surviving coin chosen ex post
  - for comparison, IEF 6.6%
- Risk contributions grow with volatility
  - risk-based rules give Bitcoin a small weight automatically (Seminar 4, B8)
- Robust mean–variance for crypto-assets: Pele (2023)

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# Case Study, Method in Detail (1/2)

- **Cost** (eqs. 4, 7)
  - $\pi_t$: risky-asset weights; $1 - 1^\top \pi_t$: the weight of the risk-free asset
  - $g_t = \mathrm{diag}\big((1 + r_t^f + r_t)/(1 + g_t^w)\big)$ (eq. 6); $r_t^f$: risk-free rate, $r_t$: asset returns, $g_t^w$: growth of wealth
  - $\mathbf{\Lambda} = \mathrm{diag}(0.2/V_i)$; $V_i$: average daily dollar volume over 6 months; trading 1% of $V_i$ moves the price by 0.1% (eq. 35, Frazzini, Israel & Moskowitz (2018))
- **Optimal rule** (Proposition 3): $\pi_t = m\, g_t \pi_{t-\mathbf{1}} + (\mathrm{I} - m) A_t$, generalising Gârleanu & Pedersen (2013)
  - $A_t$: a weighted sum of today's and expected future Markowitz portfolios; $m$ solves eq. (14)
- **Portfolio-ML** (Proposition 4, eq. 40): $A_t = \mathrm{diag}(1/\sigma_{i,t})\, f(s_t)\beta$
  - $\sigma_{i,t}$: volatility of asset $i$; $f$: $p$ random Fourier features of the signals $s_t$
  - $\hat{\beta} = (E_T[\tilde{\mathbf{\Sigma}}_t] + \lambda \mathrm{I})^{-\mathbf{1}} E_T[\tilde{r}_{t+\mathbf{1}}]$: a ridge regression ($\lambda$: penalty) that maximises utility net of costs in closed form (eqs. 24–26)
  - it learns the weights directly, as Brandt, Santa-Clara & Valkanov (2009) do without costs

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# Case Study, Method in Detail (2/2)

- **Data** (Section 5.1): US common stocks with market capitalisation above the NYSE median (184–805 stocks)
  - 115 characteristics of Jensen, Kelly & Pedersen (2023), ranked into $[0, 1]$
  - December 1952 – December 2020, out of sample 1981–2020, monthly
- **Covariance $\boldsymbol{\Sigma}$**: 13 characteristic themes and 12 industries as factors
  - exponential weights with half-lives of 378 days (correlations) and 126 days (variances)
  - investor $\gamma = 10$, wealth \$10 billion at the end of 2020, growing with the market (Section 5.1.3)
- **Tuning** (Table 1), chosen each year by the utility of validation backtests since 1971
  - $\lambda \in \{0, e^{-\mathbf{10}}, e^{-\mathbf{9.8}}, \ldots, e^{\mathbf{10}}\}$, $p \in \{2^{\mathbf{6}}, \ldots, 2^{\mathbf{9}}\}$, $\eta \in \{e^{-\mathbf{3}}, e^{-\mathbf{2}}\}$; $\eta$: standard deviation of the random weights
- **Rivals** ("*" marks an extra tuning layer, Section 5.3)
  - Markowitz-ML (eq. 32), Static-ML (one-period cost, eq. 34), Multiperiod-ML (forecasts for 12 horizons, eq. 22)
  - factor sorts, 1/N, minimum variance, market

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## Case Study, Complete Results

- **Table 2**: Portfolio-ML turnover 0.25 a month
- Portfolio-ML needs no second tuning layer, unlike Static-ML* and Multiperiod-ML*
- **Table 3**: posterior probability that Portfolio-ML has the higher utility
  - 99.9% against Static-ML* and Multiperiod-ML*, 100% against Markowitz-ML
- **Figure 1(B)** (Section 6.2), $\gamma = 10$: size is a cost
  - with \$10 billion, net excess return 14.6% at 11% volatility; with \$1 billion, 16.3%
- **Figure 5**: net of costs, quality is the most important theme
  - short-term reversal is almost irrelevant
  - monthly autocorrelation $-0.04$ for 1-month reversal, 0.94 for book-to-market (Section 6.3)
  - persistent signals are cheap to trade
- **Limits stated by the authors**
  - fees and other frictions; computing power and ML methods not available in real time early in the sample (Section 6.1)
  - costs and risk treated as constant over the horizon of each optimisation (Section 5.1.3)
  - among the smallest 20% of stocks, Portfolio-ML ranks behind Multiperiod-ML* and Static-ML* (Figure 8)

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# Case Study, the Course Replication (1/2)

- **Course data**: 14 US stocks and 9 sector ETFs
  - five signals: 1-month log return, log momentum from $t-6$ and from $t-12$ to $t-1$, 1-year volatility, 6-month dollar volume (formulas in Seminar 4, C3)
  - cost rule, $\gamma$, wealth and grid as in the paper; $\boldsymbol{\Sigma}$ with the same exponential weights; validation from 2011
- **Portfolio-ML**: cost 0.6% a year, leverage 0.32
- Net utility: Static-ML $-0.13$, minimum variance $-0.72$
  - Markowitz-ML extremely negative (leverage 18)
- **Probability** of a higher utility for Portfolio-ML: a Normal i.i.d. approximation, conditional on the estimated procedure, not an exact posterior probability
  - 99.5% against Static-ML, 99.9% against minimum variance, 93.4% against 1/N
- Annual utility difference with a 95% HAC interval
  - against 1/N: 0.28 $[-0.18, 0.73]$; against Static-ML: 0.15 $[-0.001, 0.30]$; against minimum variance: 0.74 $[0.25, 1.23]$

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# Case Study, the Course Replication (2/2)

- Same ranking of cost-aware against cost-agnostic rules as Table 2
  - Portfolio-ML wins with small, slowly traded positions, not with a higher gross Sharpe ratio (0.68 against 0.87 for 1/N)
- **Limits**
  - 23 assets instead of 184–805; five signals instead of 115
  - no factor model for $\boldsymbol{\Sigma}$, whose window reaches 10 years only in August 2014 (common prices from August 2004)
  - return forecasts with $p \geq 2^6$ and three validation years instead of ten; no starred rivals
- **Open extension** (Seminar 4, C3)
  - implementable frontiers for wealth of \$1, 10 and 100 billion and $\gamma \in \{1, 5, 10, 20, 100\}$
  - 1/N's trading costs computed at each wealth level

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# The Discovery Loop, Reusable Prompts (1/2)

- Tools are interchangeable
  - an AI assistant (Claude, ChatGPT, Gemini, GitHub Copilot)
  - literature engines (Semantic Scholar, Elicit, Google Scholar)
- **Literature**
  - *"List peer-reviewed studies since 2015 comparing shrinkage or risk-based rules with 1/N out of sample; for each give DOI, N, T, cost assumption and test."*
  - Resolve every DOI on Crossref and open the table cited
- **Hypotheses**
  - *"Give three competing explanations for a Sharpe gain over 1/N (better $\boldsymbol{\Sigma}$, a low-volatility premium, luck) and the testable implication of each for turnover, subperiods and factor loadings."*
- **Data and code**
  - *"Write Python that reads the course's daily price files, aligns prices on common dates and runs a 60-month rolling GMV-LW and 1/N; weights at $t$ may use data up to $t-1$ only."*
  - Replicate first: 1/N 0.76, GMV-LW 0.20 on the combined universe

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# The Discovery Loop, Reusable Prompts (2/2)

- **Robustness**
  - *"Draft a pre-registration: the family of tests (rules × universes × windows × costs), the error rate (FWER or FDR), the subperiods and a placebo, fixed before any result is seen."*
- **Critique**
  - *"Act as a referee: give the three strongest reasons my Sharpe gain is spurious and the test that would expose each."*
- **Report**: every specification tried, adjusted $p$-values, the power of the design, code and seeds
  - any specification chosen after seeing results is exploratory

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# Answers to the Quick Checks

- **Three rules**: $s_{11} = 0.09$, $s_{22} = 0.0225$, $s_{12} = 0.2 \times 0.30 \times 0.15 = 0.009$
  - GMV: $w_1 = (0.0225 - 0.009)/(0.09 + 0.0225 - 0.018) = 1/7$, volatility 14.3%; ERC (inverse volatility): $w_1 = 1/3$, volatility 15.5%; 1/N: 18.1%
  - 1/N: $w_1(\Sigma w)_1 = 0.5 \times 0.0495 = 0.02475$ of $\sigma_p^2 = 0.0326$: asset 1 carries 76% of the risk with 50% of the weight
- **Plug-in Sharpe**: monthly $\theta^2 = 0.25/12 = 0.0208$
  - $(120 \times 0.0208 + 4)/(120 - 6) = 0.0570$; $\sqrt{12 \times 0.0570} = 0.83$ a year, against a true 0.50
- **Noise band**: $c = 10/40 = 0.25$, band $[(1 - 0.5)^2, (1 + 0.5)^2] = [0.25, 2.25]$
  - 2.0 lies inside, so this comparison cannot separate it from noise
- **One view**: equal precisions give view weight $0.0009/(0.0009 + 0.0009) = 0.5$, posterior 7%
  - with $\Omega = 0.0003$, weight $0.0009/0.0012 = 0.75$, posterior $4\% + 0.75 \times 6\% = 8.5\%$
- **One Sharpe ratio**: SE $= \sqrt{(1 + 0.15^2/2)/120} = 0.092$
  - annual $0.52 \pm 1.96 \times 0.32$, interval $[-0.10, 1.14]$: not significant
- **Four tests**
  - Holm 0.016, 0.060, 0.060, 0.300: one rejection
  - Benjamini–Hochberg 0.016, 0.040, 0.040, 0.300: three rejections

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# Courses, Code and Data

## Advanced courses on quantinar.com

- Hierarchical Clustering
- Minimum Spanning Tree
- Multivariate Statistical Analysis

## Code and data

- All charts and tables: github.com/danpele/MFM/tree/main/Quantlets/Ch_04
- Risk-free rate: Kenneth French Data Library

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# Acronyms used in this material (1/3)

- **AI**: Artificial Intelligence
- **BET**: Bucharest Exchange Trading (index)
- **BET-TR**: BET Total Return (index)
- **BVB**: Bursa de Valori București — *the Bucharest Stock Exchange*
- **CAPM**: Capital Asset Pricing Model
- **DSR**: Deflated Sharpe Ratio
- **ERC**: Equal Risk Contribution portfolio
- **ETF**: Exchange-Traded Fund
- **FDR**: False Discovery Rate
- **FWER**: Family-Wise Error Rate
- **GLS**: Generalised Least Squares
- **GMV**: Global Minimum-Variance portfolio
- **GMV-LO**: Global Minimum-Variance portfolio, Long-Only
- **GMV-LW**: Global Minimum-Variance portfolio with Ledoit–Wolf covariance
- **HAC**: Heteroskedasticity and Autocorrelation Consistent (standard errors)
- **HRP**: Hierarchical Risk Parity
- **HYG**: iShares iBoxx High Yield Corporate Bond ETF
- **IEF**: iShares 7–10 Year Treasury Bond ETF
- **LO**: Long-Only, no short sales
- **LQD**: iShares iBoxx Investment Grade Corporate Bond ETF
- **ML**: Machine Learning
- **MV**: Mean–Variance tangency portfolio estimated from sample moments
- **MV-LO**: Mean–Variance tangency portfolio, Long-Only
- **NYSE**: New York Stock Exchange
- **OLS**: Ordinary Least Squares
- **OMV**: Österreichische Mineralölverwaltung — *Austrian Mineral Oil Administration (OMV group)*
- **OOS**: Out-Of-Sample — *evaluation on data after the estimation period*
- **POET**: Principal Orthogonal complEment Thresholding
- **US**: United States

## Acronyms used in this material (2/3)

- **BH**: Benjamini–Hochberg (procedure controlling the FDR)
- **CFW**: Conditional Fixed-Weight multifactor portfolio
- **CMV**: Conditional Mean–Variance multifactor portfolio
- **DOI**: Digital Object Identifier
- **i.i.d.**: independent and identically distributed
- **LW**: Ledoit–Wolf (shrinkage covariance estimator)
- **QS**: Quadratic Spectral (kernel)
- **RON**: Romanian leu
- **SE**: Standard Error
- **SR**: Sharpe Ratio
- **UMV**: Unconditional Mean–Variance multifactor portfolio
- **USD**: US dollar

## Acronyms used in this material (3/3): asset tickers

- **SPY**: SPDR S&P 500 ETF Trust
- **EFA**: iShares MSCI EAFE ETF (developed markets outside the US and Canada)
- **EEM**: iShares MSCI Emerging Markets ETF
- **TLT**: iShares 20+ Year Treasury Bond ETF
- **GLD**: SPDR Gold Shares
- **XLB**, **XLE**, **XLF**, **XLI**, **XLK**: Select Sector SPDR (materials, energy, financials, industrials, technology)
- **XLP**, **XLU**, **XLV**, **XLY**: Select Sector SPDR (consumer staples, utilities, health care, consumer discretionary)
- **TLV**: Banca Transilvania
- **SNP**: OMV Petrom
- **BRD**: BRD–Groupe Société Générale
- **TGN**: Transgaz
- **SNG**: Romgaz
- **SNN**: Nuclearelectrica
- **EL**: Electrica
- **TEL**: Transelectrica